

# Tesla

TSLA • NASDAQ Global Select • Auto - Manufacturers • United States

## COMPANY PROFILE

Tesla designs and manufactures electric vehicles, energy-storage systems, charging products and related software. Its operations also include supervised driver-assistance software, an emerging robotaxi network and development-stage humanoid robotics. Automotive remains the principal reported revenue source, while energy storage supplies a growing share of gross profit and autonomy and robotics represent substantial pre-commercial optionality.

### RECOMMENDATION

# SELL

12-month horizon

### CURRENT PRICE

## 339.99 USD

as of report date

### TARGET PRICE

## 122.80 USD

12-month fundamental

### IMPLIED UPSIDE

## -63.9%

vs. current price

### MARKET CAP

## USD 1,270 bn

shares × price

### ENTERPRISE VALUE

## USD 1,277.2 bn

mcap + EV adjustments

P/E 2026E

## 267.9×

EV/EBITDA 2026E

## 76.9×

FCF YIELD 2026E

## -0.4%

DIVIDEND YIELD  
2026E

—

NET DEBT / EBITDA  
2026E

## -0.2×

## RESEARCH SNAPSHOT

# The call, the math, and the three reasons why

02

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

|                                                            |                                                                           |                                                                                           |                                                             |
|------------------------------------------------------------|---------------------------------------------------------------------------|-------------------------------------------------------------------------------------------|-------------------------------------------------------------|
| <b>RECOMMENDATION</b><br><b>SELL</b><br>12-month horizon   | <b>TARGET PRICE</b><br><b>122.80 USD</b><br>12-month fundamental          | <b>CURRENT PRICE</b><br><b>339.99 USD</b><br>as of report date                            | <b>IMPLIED UPSIDE</b><br><b>-63.9%</b><br>vs. current price |
| <b>MARKET CAP</b><br><b>USD 1,270 bn</b><br>shares × price | <b>ENTERPRISE VALUE</b><br><b>USD 1,277.2 bn</b><br>mcap + EV adjustments | <b>P/E · EV/EBITDA</b><br>2026E<br><b>267.9x · 76.9x</b><br>history + peers, see p. 18–19 | <b>FCF · DIV YIELD</b><br>2026E<br><b>-0.4% · —</b>         |



## 01 The market discounts a software-like profit structure

The reverse valuation requires EBIT margins to rise from 5.4% in 2026 to 36.0% in 2027 and ultimately 43.2%, despite a manufacturing-heavy revenue base and substantial capital expenditure. That outcome is possible only if high-margin autonomy economics become material rapidly.

36.0% implied 2027 EBIT margin

## 02 Automotive leadership is regional, not global

Tesla retained 50.5% of the US EV market in Q2 2026 according to CleanTechnica, but BYD led global BEV deliveries and Tesla held only 5.1% of China's NEV retail market in H1 2026 according to INDmoney. The low-cost platform must expand demand without reopening severe price compression.

5.1% China NEV share

## 03 Real optionality is already heavily capitalized

FSD subscriptions reached 1.48m and Texas created a path to commercial Level 4 operation, supporting material option value. However, established operators already run larger paid networks, and Optimus remained on first-generation production lines with effectively zero output in July 2026.

USD 850bn market EV assigned to options

## THESIS BREAKER

Verified driverless scale across multiple major jurisdictions with durable unit economics would invalidate the probability discount underlying the SELL.

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

Weekly closing prices over 36 months with the 12-month target price, alongside key market data.



|                                                             |                                                      |                                                       |                                                      |
|-------------------------------------------------------------|------------------------------------------------------|-------------------------------------------------------|------------------------------------------------------|
| <b>CURRENT PRICE</b><br><b>339.99 USD</b><br>17 August 2026 | <b>TARGET PRICE</b><br><b>122.80 USD</b><br>12-month | <b>IMPLIED UPSIDE</b><br><b>-63.9%</b><br>vs. current | <b>52-WEEK HIGH</b><br><b>498.83 USD</b><br>past 12m |
| <b>52-WEEK LOW</b><br><b>297.38 USD</b><br>past 12m         | <b>1-YEAR CHANGE</b><br><b>+3.5%</b><br>price only   | <b>3-YEAR CHANGE</b><br><b>+51.7%</b><br>price only   | <b>REPORT DATE</b><br><b>17 August 2026</b>          |

READING THE MOVE

The source data does not provide an auditable price-history series, so the magnitude and timing of recent share-price moves cannot be established. Supported operating developments include stronger Q2 revenue, Texas autonomy progress and record-scale energy deployments, offset by compressed group profitability and lower regulatory-credit revenue. The USD 339.99 quote remains far above the USD 122.48 probability-weighted target.

VALUE BREAKDOWN · PART 1

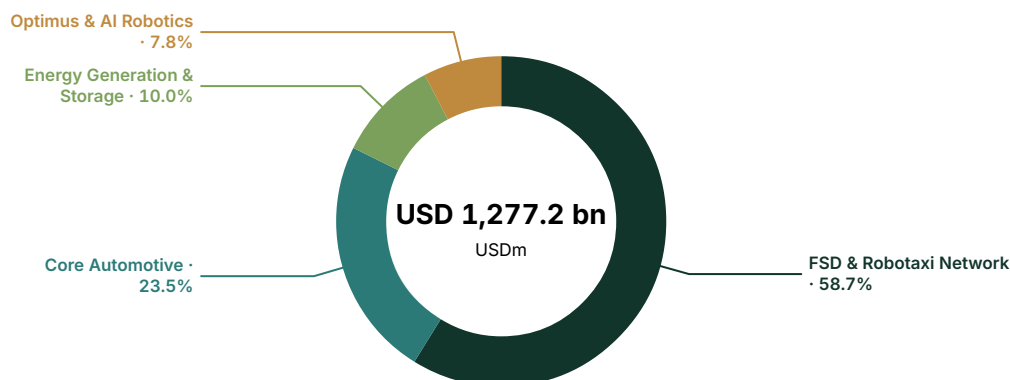
## Enterprise - value allocation by business division

04

Where the market value sits across current businesses and long-term strategic options.

### Enterprise value by business division

USD millions · current analytical allocation



### VALUE AND EARNINGS BY BUSINESS DIVISION

Analytical enterprise-value allocation against reported economics. "Reported" rows match a verified company-reported segment; "Modelled allocation" rows are model-side splits. This issuer discloses segment gross profit but not segment EBIT, so the absolute profit column is verified gross profit while the share column is the model's estimate of each division's share of group EBIT. Business divisions may differ from company-reported accounting segments.

|                             | EV        | EV %   | REVENUE | REV %  | GROSS PROFIT | EBIT SHARE OF TOTAL (EST.) | BASIS               |
|-----------------------------|-----------|--------|---------|--------|--------------|----------------------------|---------------------|
| FSD & Robotaxi Network      | 750,000   | 58.7%  | 0       | 0.0%   | 0            | 0.0%                       | Modelled allocation |
| Core Automotive             | 300,000   | 23.5%  | 82,056  | 86.5%  | 13,292       | 75.0%                      | Reported            |
| Energy Generation & Storage | 127,246   | 10.0%  | 12,771  | 13.5%  | 3,802        | 25.0%                      | Reported            |
| Optimus & AI Robotics       | 100,000   | 7.8%   | 0       | 0.0%   | 0            | 0.0%                       | Modelled allocation |
| Total                       | 1,277,246 | 100.0% | 94,827  | 100.0% | 17,094       | 100.0%                     | —                   |

VALUE BREAKDOWN · PART 2

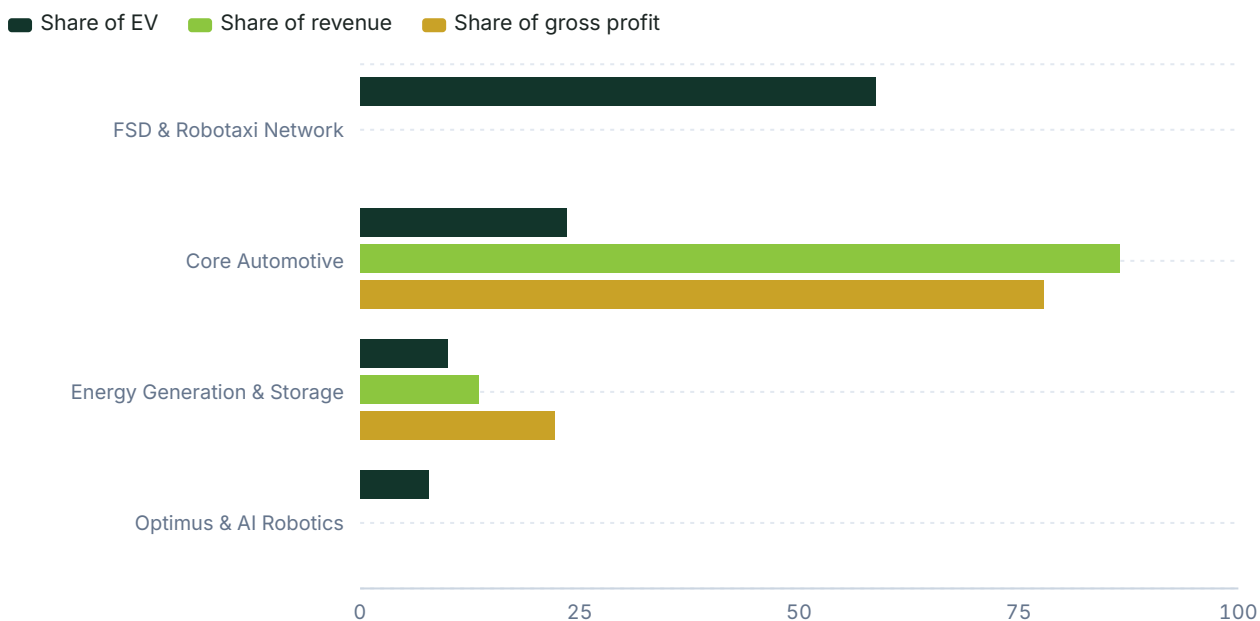
## Where value sits versus where money is earned

05

Each business division's share of enterprise value against its share of group revenue and profit. A division holding value it does not yet earn is where the valuation rests on the future; the full figures are in the allocation table on the previous page.

### Share of enterprise value vs revenue and profit

Per cent of group total · modelled allocation



#### INTERPRETATION

The market-value allocation places USD 850bn, or roughly two-thirds of controlled enterprise value, in FSD/Robotaxi and Optimus despite neither being a separately reported revenue segment. Automotive and energy provide the present operating foundation, but the share price is governed primarily by the probability assigned to future autonomous and robotic profit pools.

## RECOMMENDATION

## Why we land on the call we do

06

How the assembled evidence adds up to the call: what the price assumes, what the clues say, and what would change our view. The decision summary and the three headline reasons are on the snapshot page.

SELL. The 12-month target price is USD 122.8, implying 63.9% downside from the current price of USD 339.99.

The current USD 1277.246bn enterprise value cannot be explained by the near-term financial model alone. Tesla trades at 76.86x 2026 EBITDA and 225.18x EBIT while modeled free cash flow to the firm remains negative USD 4.454bn. The reverse valuation requires 2027 EBIT of USD 45.476bn and a 36.0% margin, compared with the maintained forecast of USD 6.890bn and 5.5%.

The operating evidence is mixed rather than uniformly negative. Q2 revenue reached USD 28.24bn and Tesla delivered 480126 vehicles according to Elevocharge on 21 July 2026, although BYD delivered 557090 according to Bloomberg via INDmoney on 12 August 2026. Energy deployed 13.5 GWh in Q2 according to PV Tech on 23 July 2026, but its gross margin fell to 20.4% after a USD 240m warranty true-up and lower pricing.

The strongest argument against the SELL is that Tesla has moved beyond a purely theoretical autonomy proposition. It reported 380000 unsupervised miles across six cities in July, while Texas introduced a statewide L4/L5 authorization framework and Tesla self-certified Level 4 compliance on 28 May 2026. Those milestones justify a large FSD option value, but Waymo's 500000 paid weekly rides and Tesla's fifth-place composite operator ranking show that technical and commercial leadership has not yet been established.

The call would move upward if Tesla demonstrates repeatable driverless economics, secures durable permits in Texas and California, and obtains commercial L3/L4 authorization in China while restoring automotive margins without credits. It would move further downward if regulatory-credit revenue remains near the Q2 annualized run rate, energy margins settle near 20%, or Optimus fails to complete a verified autonomous factory shift. A credible combination of 2029 group EBITDA above USD 35bn and validated autonomy scale would require a new valuation.

## CORE ANALYSIS · EXECUTIVE MAP

## 07

## How the company creates economic value

The framework underlying the business division deep dives that follow.

Enterprise value forms in two layers. Automotive and Energy generated all verified FY2025 reported revenue and gross profit, with automotive contributing USD 82.056bn of revenue and energy USD 3.802bn of gross profit. These businesses fund capital expenditure and establish the fleet, battery supply and manufacturing capabilities required by the options.

The second layer is permission-dependent optionality. FSD and Robotaxi receives USD 750bn of current-market EV allocation, with 1.48m subscriptions and 380000 unsupervised miles as its key evidence. Optimus receives USD 100bn despite effectively zero Q2 output, making a verified autonomous factory shift its decisive number.

The target SOTP is approximately USD 491.0bn of EV: USD 180.0bn automotive, USD 74.52bn energy, USD 209.8bn FSD/Robotaxi and USD 26.7bn Optimus. The resulting USD 122.48 per share gives substantial credit to optionality but requires less simultaneous success than the current quote.

**ANALYTICAL ANCHOR**

The key analytical distinction is between verified reported-segment economics and modeled division optionality. Revenue and gross profit are copied from the FY2025 segment note; option values arise only from explicit future EBITDA, multiples and success probabilities.

08.1

FSD & Robotaxi Network

Business division deep dive — Emerging option.

WHY THE MARKET VALUES IT

FSD and robotaxi economics are the principal explanation for Tesla's valuation premium over conventional manufacturers. The division receives USD 750bn, or 58.7%, of the controlled current enterprise value in this report's market-value allocation. This is not company-reported value and does not imply current segment revenue; it is the residual strategic value required after assigning meaningful values to automotive, energy and robotics. A successful network could convert a large installed fleet into recurring software revenue and potentially substitute autonomous capital for human driving labor. That possibility supports a large option, but it also makes permission, safety and utilization more important than consumer interest alone.

Tesla reported 1.48m active global FSD subscriptions at Q2 2026, up 56% year over year, according to Sawyer Merritt citing Tesla's Q2 update on 22 July. At USD 99 per month in the United States after the one-time purchase option ended on 14 February, the product has a visible recurring-revenue mechanism. However, FSD Supervised is not equivalent to a commercial driverless network, and the source data does not disclose global subscription revenue, churn or regional pricing. The valuation therefore separates existing supervised adoption from the much larger robotaxi outcome. The target assigns USD 209.8bn of present value to probability-weighted 2030 network outcomes, materially below the current allocation.

MARKET STRUCTURE AND DEMAND

Robotaxi demand is validated by scaled incumbents, but market-size estimates conflict by region and definition. Fortune Business Insights estimated North America at 54.09% of 2025 global robotaxi revenue, while Precedence Research estimated Asia Pacific at 32% of the 2024 market. These figures are not necessarily mutually exclusive because they refer to different years and datasets, yet they cannot be combined into a single regional total. Operational evidence is more useful: Waymo supplied 500000 paid weekly rides across ten US metropolitan areas by June 2026, and Baidu's Apollo Go exceeded 350000 weekly rides across 27 cities in March. Demand exists; the unresolved issue is Tesla's share and economics.

FSD & ROBOTAXI NETWORK  
FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

CURRENT-MARKET EV ALLOCATION

\$750.0bn

ACTIVE FSD SUBSCRIPTIONS

1.48m (Q2 2026)

US SUBSCRIPTION PRICE

\$99/month from 14 Feb 2026

UNSUPERVISED OPERATING EVIDENCE

380000 miles across six cities

AUSTIN FARE FORMULA

\$3.25 base + \$1.00/mile

CYBERCAB COST TARGET

Below \$30000; internal goal \$25000

REGULATORY CASCADE

Texas L4 path; China L2+; NL supervised

TARGET PROBABILITY-WEIGHTED VALUE

\$209.8bn present value



08.1

FSD & Robotaxi Network (continued)

Business division deep dive — Emerging option.

Waymo was estimated to hold approximately 25% of San Francisco ride-hailing in May 2026 by Sacra, demonstrating that autonomous services can take meaningful local share. Tesla's Austin pricing of USD 3.25 plus USD 1.00 per mile, reported by BASENOR on 7 March, shows an active commercial formula but not realized revenue or profit. The source data lacks Tesla's exact active fleet, weekly paid rides and ride completion metrics. As a result, market share required by the valuation is framed through modeled EBITDA rather than a claimed current share. The downside option assumes USD 20bn of 2030 EBITDA, while the upside leg assumes USD 45bn.

COMPETITIVE POSITION

Tesla ranked fifth globally in a June 2026 composite robotaxi assessment, behind Baidu's 81.7 score and Waymo's 77.6, according to AUTNMY AI and ChinaEVHome. Waymo operated 3871 active vehicles and Pony.ai had more than 1700 by May, while Tesla's exact driverless fleet was not confirmed. Tesla's differentiator is the possibility of using a lower-cost vision-centric vehicle and a much larger customer fleet, but hardware eligibility constrains that advantage. Elon Musk acknowledged in April 2026 that Hardware 3 vehicles could not achieve unsupervised FSD, according to umicrypto on 31 July. A fleet is valuable only if its hardware and legal status permit autonomous operation.

Tesla nevertheless has moved beyond laboratory claims. It reported more than 380000 unsupervised miles across six active cities in July 2026, according to Tesla and Business Insider on 22 July. That milestone supports a non-zero probability of commercial scale and is central to the option valuation. Yet Waymo's paid weekly rides and fleet count remain more directly connected to utilization and revenue. Baidu's 27-city footprint also indicates that regulatory localization and municipal relationships are competitive capabilities, not merely technical overhead. Tesla's fifth-place ranking therefore justifies an option, not assumed leadership.

- Waymo: 500000 paid rides/week and 3871 vehicles in June 2026.
- Apollo Go: over 350000 weekly rides across 27 cities in March 2026.
- Pony.ai: over 1700 vehicles in May 2026; 25 peak orders/day in Shenzhen.
- Tesla: 380000 unsupervised miles across six cities in July 2026.

FSD & ROBOTAXI NETWORK  
FACT SHEET

EMERGING OPTION

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Not separately reported

GROSS PROFIT

Not separately reported

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FSD & Robotaxi Network (continued)

Business division deep dive — Emerging option.

UNIT ECONOMICS

Tesla's long-term Cybercab operating-cost target was estimated at USD 0.18–USD 0.25 per mile by SDVGuru on 5 January 2026. That compares with an estimated USD 1.40 per mile for Waymo from a Hacker News and Reddit analysis on 15 May, but neither is an audited company disclosure. Tesla's Austin fare formula could produce substantial gross spread if the cost target is achieved, although insurance, cleaning, charging, repositioning, support and vehicle downtime are not separately disclosed. The estimated Cybercab production cost is below USD 30000, with an internal goal of USD 25000, according to Forbes on 16 April. Baidu's sixth-generation vehicle cost of roughly USD 30305 provides an external reference point.

Utilization is the other critical variable. Waymo was estimated at 17.8–25 trips per vehicle per day, and Pony.ai reported a peak of 25 orders per vehicle per day in Shenzhen in Q1 2026. Tesla does not disclose a comparable sustained utilization figure. At low utilization, even an inexpensive vehicle carries depreciation, support and remote-assistance costs across too few paid miles. At high utilization, a USD 25000–USD 30000 vehicle and low operating cost could generate attractive returns at the Austin tariff. The target option probabilities therefore depend on evidence of sustained paid rides per vehicle, not merely autonomous miles.

ECONOMICS BRIDGE

The downside-success leg models USD 20bn of network EBITDA in 2030 at 20.0x and a 35% success probability. The upside-success leg models USD 45bn at the same multiple and a 15% probability. After probability weighting and four years of discounting at 7.0%, the two legs contribute approximately USD 209.8bn of present enterprise value. The remaining 50% probability is a zero-value failure outcome and is not written as a separate bridge row. The 20.0x multiple is above Uber's 2029 EV/EBITDA of 19.5x only marginally and below NVIDIA's 2026 34.2x, reflecting network economics without treating Tesla as a merchant semiconductor supplier.

The EBITDA assumptions are intentionally large because a small network would not explain Tesla's market valuation. Waymo's estimated USD 15–USD 17 revenue per ride and 500000 weekly rides provide evidence of revenue potential but do not establish profit. Tesla's cost targets, if achieved, could support higher margins through simpler hardware and purpose-built vehicles. Conversely, commercial liability and support costs may narrow the apparent per-mile spread. The bridge therefore values outcomes rather than extrapolating the current supervised subscription base into an unsupported terminal market share.

FSD & ROBOTAXI NETWORK  
FACT SHEET

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GROSS PROFIT

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FSD & Robotaxi Network (continued)

Business division deep dive — Emerging option.

GAP TO REQUIRED ECONOMICS

The current-market allocation of USD 750bn exceeds the target present value by approximately USD 540bn. Using the target's 20.0x multiple and 2030 discount factor, an incremental USD 540bn of present value would require roughly USD 35bn of additional probability-weighted 2030 EBITDA. Put differently, the market appears to price something close to the upside economics at a much higher probability than the target's 15%, or a larger outcome than USD 45bn. This is consistent with the reverse valuation, which requires group EBIT of USD 45.476bn in 2027 and USD 54.009bn in 2028. Such a rapid transition is difficult to reconcile with the current regulatory map.

The commercial gap is visible in incumbent scale. Waymo already performs 500000 paid weekly rides, whereas Tesla disclosed miles rather than paid ride volume. Tesla also lacks confirmed commercial L3/L4 approval in China and the source data does not confirm renewal of its Texas TNC permit after 6 August 2026. California's specific approval status is not available in the register, despite its importance to the decisive factor. The option can appreciate rapidly if these gaps close because fixed software development can scale across vehicles. It can also collapse nonlinearly if regulators restrict deployment or liability costs invalidate the targeted per-mile economics.

MILESTONES

Texas is the most advanced jurisdiction in the source register. Senate Bill 2807 became effective on 28 May 2026 and requires TxDMV authorization for commercial L4/L5 operations; Teslarati reported that Tesla self-certified its Model Y software as SAE Level 4 compliant the next day. Tesla Robotaxi LLC also held a statewide TNC permit valid through 6 August, but renewal was not confirmed by the report date. Texas law treats the owner or authorization holder as the operator when the automated system is engaged, concentrating compliance and liability. The next gate is verified continuing authorization plus sustained paid driverless operations without a safety operator.

China remains materially behind Texas. Tesla launched FSD Supervised on 21 May 2026, but the system remained Level 2+ without L3/L4 commercial approval according to GlobalChinaEV. China issued its first mandatory L3/L4 safety standard on 4 August and holds carmakers accountable for accidents while the system is active. Tesla was recruiting road-test technicians in nine cities in August to localize FSD V14, according to the South China Morning Post on 11 August. A Q3 2026 clearance target was described as an uphill battle because of data regulation. The next gate is formal commercial approval, not additional supervised availability.

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FSD & Robotaxi Network (continued)

Business division deep dive — Emerging option.

The Netherlands approved FSD Supervised in April 2026 according to Tesla's Q1 update, which broadens supervised access but does not authorize an unsupervised robotaxi. California's precise driverless permit state was not available in the source data and therefore cannot be assumed. Zoox receiving the first NHTSA commercial exemption for a purpose-built vehicle without conventional controls on 5 August demonstrates that a federal pathway can exist, while also showing Tesla is not alone in pursuing it. Cybercab entering a production queue after street testing was reported by Teslarati, but the supplied link resolves to Wikipedia and receives low evidentiary weight. Regulatory milestones must be tied to operative permissions and paid usage.

- Approved or active: Texas L4 self-certification path; Netherlands supervised FSD.
- Limited: China FSD Supervised at Level 2+ with nine-city testing.
- Pending evidence: Texas permit renewal, California driverless status, China L3/L4 approval.
- Next commercial proof: paid rides, fleet size and utilization by jurisdiction.

SIGNAL MAP

Positive signals include 1.48m FSD subscriptions, 56% year-over-year growth, 380000 unsupervised miles and the Texas framework. Competitive negatives include Tesla's fifth-place composite ranking, Waymo's paid scale and Baidu's broader footprint. Technical negatives include the HW3 limitation, which reduces the portion of the installed fleet that can become driverless without upgrades. Regulatory ambiguity remains high because self-certification, TNC permission and autonomous-operation authorization are separate concepts. The evidence supports improving technical probability but not yet dominant commercial probability.

Pricing also sends mixed signals. Subscription-only FSD at USD 99 per month can lower adoption friction and expand recurring data, but it removes the upfront USD 8000 purchase option and may reduce near-term cash per adopter. Austin's fare schedule is competitive evidence, yet a posted tariff is not a realized unit-economic disclosure. The Cybercab cost target is attractive relative to Baidu's approximate build cost, but target cost is not production cost. Tesla's active driverless fleet and exact paid ride volume remain unavailable. The next decisive signal is a consistent operating dashboard rather than another demonstration.

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FSD & Robotaxi Network (continued)

Business division deep dive — Emerging option.

ASSESSMENT

FSD and robotaxi is Tesla's largest legitimate option and the largest source of valuation disagreement. The target recognizes substantial progress by assigning approximately USD 209.8bn of present value, far more than a conventional driver-assistance software business would command. It nevertheless rejects the USD 750bn current-market allocation because incumbent utilization, jurisdictional permission and Tesla-specific network economics remain incomplete. Texas can move the probability quickly, while China and California determine whether the outcome becomes globally material. The division would break the SELL if it reaches multi-city paid scale with cost per mile near target and no adverse liability evidence.

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ROBOTAXI OPERATING SCALE AND UNIT-ECONOMIC EVIDENCE

| OPERATOR  | COMMERCIAL SCALE           | FLEET / UTILIZATION   | COST OR STATUS         |
|-----------|----------------------------|-----------------------|------------------------|
| Tesla     | 380000 unsup. miles Jul'26 | Fleet not confirmed   | \$0.18-0.25/mi target  |
| Waymo     | 500000 paid rides/wk       | 3871 vehicles Jun'26  | Est. \$1.40/mi         |
| Apollo Go | 350000+ rides/wk           | 27 cities Mar'26      | Vehicle ~\$30305       |
| Pony.ai   | Commercial China network   | 1700+ vehicles May'26 | 25 orders/day peak     |
| Zoox      | Early commercial pathway   | Not available         | NHTSA exemption Aug'26 |

08.2

Core Automotive

Business division deep dive — Profit engine.

WHY THE MARKET VALUES IT

Core Automotive supplies the installed fleet, manufacturing base, customer relationships and cash-generation substrate from which Tesla's software options are expected to scale. The verified FY2025 reported automotive segment generated USD 82.056bn of external sales and USD 13.292bn of gross profit, representing 86.5% of group revenue and 77.8% of group gross profit. Those are reported-segment facts, whereas this report's Core Automotive division excludes separately valued FSD and robotaxi optionality conceptually even though Tesla does not disclose those economics as a separate reported segment. The division's market allocation of USD 300bn therefore reflects both the durable vehicle franchise and the practical impossibility of creating the software fleet without selling cars. The target valuation is lower at USD 180bn, based on modeled 2027 automotive EBITDA of USD 15bn and a 12.0x multiple.

The decisive valuation question is whether the next-generation low-cost platform can restart unit and revenue growth without sacrificing the gross profit needed to fund autonomy, energy and robotics. Group revenue declined 2.9% in 2025 and group EBIT margin compressed to 4.6%, showing that scale alone no longer guarantees operating leverage. The maintained model expects group sales to grow 11.7% in 2026 and 19.2% in 2027, but EBIT margin only reaches 5.5% in 2027. This mismatch between expected volume growth and subdued profit conversion makes manufacturing cost, mix and pricing more important than headline deliveries. A successful low-cost launch would increase both the automotive value and the addressable fleet for FSD; a price-led launch without cost reduction would mainly transfer value between divisions.

MARKET STRUCTURE AND DEMAND

Global competition has shifted from proving that battery-electric vehicles can be produced to establishing cost, distribution and product-cycle superiority. BYD surpassed Tesla in 2025 BEV deliveries with 2256714 units versus Tesla's 1636129, according to Electrek on 1 July 2026. In Q2 2026, Bloomberg via INDmoney reported BYD at 557090 BEVs, while Elevocharge reported Tesla at 480126 on 21 July 2026. An earlier Electrek estimate of 396500 Tesla units conflicted with the later reported figure, so the analysis weights the later 480126 result. Tesla retains meaningful scale, but global volume leadership can no longer be assumed.

CORE AUTOMOTIVE FACT SHEET

PROFIT ENGINE

FY2025A REVENUE  
USD 82,056m

FY2025A GROSS PROFIT  
USD 13,292m

FY2025 REPORTED GROSS MARGIN  
16.2% on \$82.1bn segment sales

TARGET BRIDGE BASIS  
\$15.0bn 2027E EBITDA × 12.0x

GLOBAL DELIVERIES  
1.636m (2025)

Q2 DELIVERY COMPARISON  
Tesla 480126; BYD 557090

US EV SHARE  
50.5% (Q2 2026)

CHINA NEV RETAIL SHARE  
5.1% (H1 2026)

INSTALLED ANNUAL CAPACITY  
2.35m vehicles (2024 estimate)

LOW-COST PLATFORM COST GATE  
\$15000–\$20000 manufacturing target

08.2

Core Automotive (continued)  
Business division deep dive — Profit engine.

Regional demand is highly uneven. CleanTechnica reported Tesla at 50.5% of the US EV market in Q2 2026, far ahead of Chevrolet and Hyundai at 5.8% each, Cadillac at 5.1% and Rivian at 4.6%. In China, INDmoney reported Tesla at only 5.1% of H1 2026 NEV retail sales versus BYD at 21.1%, while CnEVPost placed BYD at 23.5% in July. Europe had reached a 22.2% battery-electric share of new registrations in H1 2026, according to European Car Market Statistics on 23 July 2026, but specific Tesla and competitor shares were not available in the source data. The demand opportunity remains large, yet Tesla's ability to capture it depends on more frequent products and local price competitiveness rather than market expansion alone.

COMPETITIVE POSITION

Tesla's strongest defensible position is still the United States, where the Q2 share data indicates a much wider lead than in other regions. Its manufacturing scale also remains material: Inovev estimated installed annual capacity at 2.35m vehicles in 2024. Against 1.636m 2025 deliveries, that comparison implies substantial unused capacity, although an exact utilization percentage is not stated because production volumes and like-for-like capacity were not supplied. Spare capacity can support operating leverage if a lower-priced model stimulates demand, but it magnifies fixed-cost absorption pressure when volumes disappoint. GM's reaffirmed target of 1m units of North American EV capacity by late 2026, reported by General Motors on 26 July 2026, indicates that domestic competition is still adding capacity.

China is the more serious strategic challenge because local competitors combine lower pricing, faster product cycles and digital ecosystems. Tesla retained the highest reported NEV favorability score at 53.13 versus BYD's 51.82 in an H1 2026 LandRoads survey reported on 6 July 2026, suggesting brand equity has not disappeared. However, 69% of Gen Z shoppers were more likely to consider a Chinese brand in a Cox Automotive survey reported by CleanTechnica on 6 March 2026. Xiaomi's ecosystem was cited as attracting Tesla Model 3 switchers, and July SU7 deliveries exceeded Model 3 domestic retail deliveries by ten to one, although Tesla's export cycle distorted that monthly comparison. The conflicting evidence—strong Model Y ranking but weak brand-level July share—supports a view of a durable hero product inside a weakening portfolio position.

- Tesla: 1.636m global deliveries in 2025; 50.5% US EV share in Q2 2026.
- BYD: 2.257m BEV deliveries in 2025; 21.1% China NEV share in H1 2026.
- Rivian: 2.7% estimated FY2025 gross margin; much smaller scale.
- GM: 1.0m North American EV capacity target by late 2026.

CORE AUTOMOTIVE FACT SHEET

PROFIT ENGINE

FY2025A REVENUE  
USD 82,056m

FY2025A GROSS PROFIT  
USD 13,292m

FY2025 REPORTED GROSS MARGIN  
16.2% on \$82.1bn segment sales

TARGET BRIDGE BASIS  
\$15.0bn 2027E EBITDA × 12.0x

GLOBAL DELIVERIES  
1.636m (2025)

Q2 DELIVERY COMPARISON  
Tesla 480126; BYD 557090

US EV SHARE  
50.5% (Q2 2026)

CHINA NEV RETAIL SHARE  
5.1% (H1 2026)

INSTALLED ANNUAL CAPACITY  
2.35m vehicles (2024 estimate)

LOW-COST PLATFORM COST GATE  
\$15000–\$20000 manufacturing target



08.2

Core Automotive (continued)  
Business division deep dive — Profit engine.

UNIT ECONOMICS

FY2025 automotive gross profit of USD 13.292bn on USD 82.056bn of revenue implies a reported gross margin of approximately 16.2%. TIKR reported that automotive gross margin recovered to 21.1% in Q1 2026 from 16.3% a year earlier, but the group quarterly EBIT margin subsequently fell to 1.4% in Q2. The different measures should not be conflated: one is automotive gross margin and the other group EBIT margin. Regulatory credits also matter disproportionately because CleanTechnica described them as carrying a 100% margin. Credit revenue fell from USD 2.763bn in 2024 to USD 1.993bn in 2025 and then to USD 146m in Q2 2026, creating a substantial quality-of-earnings headwind.

Tesla's CFO said overall cost of goods sold per vehicle had fallen below USD 35000 in early 2025, but a specific 2026 COGS figure is not available. Third-party estimates for the next-generation platform conflict: EV Briefing estimated USD 12749 per unit on 11 March 2026, while Good Rebels and Auto Gear Shift cited a USD 15000–USD 20000 manufacturing target on 12 August 2026. The target range is weighted because it is broader and more consistent with an aspirational 50% reduction rather than a precise but unverified point estimate. Lithium carbonate was assessed at USD 18160 per tonne by Benchmark Mineral Intelligence on 11 August, versus USD 21760 per tonne for Northeast Asia in July from IMARC. Geographic and timing differences explain some of the conflict, so neither number is treated as a universal battery-cost input.

ECONOMICS BRIDGE

The target bridge models USD 15bn of Core Automotive EBITDA in 2027, leaving USD 4.14bn of the group model's USD 19.14bn EBITDA for Energy Generation & Storage and shared effects. The allocation is analytical rather than company-reported because Tesla does not publish division EBITDA. Applied at 12.0x, automotive contributes USD 180bn of target enterprise value. The multiple is well above Toyota's 2027 EV/EBITDA of 2.9x and below Tesla's own normalized historical 101.83x, recognizing Tesla's growth, software attachment and net-cash balance while rejecting a full software multiple on manufacturing earnings. It also sits close to Uber's 2027 11.5x and above the resolved peer median of 11.5x.

CORE AUTOMOTIVE FACT SHEET

PROFIT ENGINE

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USD 82,056m

FY2025A GROSS PROFIT  
USD 13,292m

FY2025 REPORTED GROSS MARGIN  
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2.35m vehicles (2024 estimate)

LOW-COST PLATFORM COST GATE  
\$15000–\$20000 manufacturing target



08.2

Core Automotive (continued)  
Business division deep dive — Profit engine.

The operational path to USD 15bn requires a combination of low-cost vehicle volume, stable gross margin and reduced dependence on credits. The group model forecasts 2027 sales of USD 126.2bn, EBITDA of USD 19.14bn and a 15.2% EBITDA margin. Core Automotive can support the assumed contribution if new vehicles use available capacity efficiently and if price reductions are matched by structural cost savings. Semi production is a secondary contributor: Tesla's official account said mass production commenced on 30 April 2026 at a facility designed for 50000 vehicles annually, while Teslarati said volume production began in March. The official source is weighted for commencement timing, but neither source provides realized volume or profitability.

GAP TO REQUIRED ECONOMICS

The gap between the target case and current market valuation is much larger than the gap between current and target operating performance. At the target bridge, Core Automotive is worth USD 180bn, whereas this report allocates USD 300bn of the controlled current enterprise value to the division. The market allocation therefore already assumes either greater than USD 15bn sustainable EBITDA, a multiple above 12.0x, or strategic value transferred from the FSD ecosystem. By contrast, applying Toyota's 2027 2.9x multiple would value the same EBITDA at only USD 43.5bn. The target deliberately gives Tesla a major premium but does not capitalize optional software profits twice.

What would break the automotive valuation is a low-cost platform that fails to lower unit cost in proportion to price. A Q2 regulatory-credit annualized run rate of USD 584m would be 70.7% below 2025 and was calculated to create USD 0.375 of EPS downside, making underlying manufacturing improvement more urgent. Competitive capacity additions and China's rapid product cadence could force continued incentives before the new process matures. Conversely, confirmed manufacturing cost in the USD 15000–USD 20000 range with high-volume output would make the USD 15bn EBITDA assumption conservative. The source data lacks a verified launch price, volume schedule and line-level bill of materials, so those become explicit monitoring gates rather than embedded facts.

CORE AUTOMOTIVE FACT SHEET

PROFIT ENGINE

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USD 82,056m

FY2025A GROSS PROFIT  
USD 13,292m

FY2025 REPORTED GROSS MARGIN  
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\$15000–\$20000 manufacturing target

08.2

Core Automotive (continued)

Business division deep dive — Profit engine.

MILESTONES

The first milestone is evidence that the affordable vehicle moves from first builds into repeatable, saleable production. Electrek reported first builds using a mixture of next-generation and current platforms in June 2025, but that does not establish cost, throughput or customer deliveries. The second milestone is gross-margin retention as volume grows; quarterly automotive gross margin should remain near or above the reported Q1 2026 level without relying on credits. The third is capacity absorption, measured through disclosed production and deliveries rather than inferred percentages. The fourth is regional stabilization in China, where share and product ranking currently tell different stories.

Semi and the next-generation Roadster are additional product-cycle signals, but neither drives the valuation without demonstrated economics. The official Semi announcement identifies 50000 units of designed annual capacity, while the source register contains no realized run rate or margin. The Roadster unveiling was scheduled for late August 2026 by EV News on 14 August, after this report date, and therefore remains an event rather than an operating input. A verified rare-earth-free drive unit would also support cost and supply-chain resilience, but no commercial deployment had been confirmed as of April 2026 according to Rare Earth Exchanges. Management's indicated 2026 capital expenditure above USD 25bn raises the cost of delays because the maintained model currently contains USD 19.354bn.

- Near term: affordable-vehicle customer deliveries and disclosed cost evidence.
- Medium term: sustained automotive gross margin without credit support.
- Medium term: China share stabilization and improved factory absorption.
- Long term: repeatable next-generation manufacturing across multiple plants.

SIGNAL MAP

Positive signals are Q2 deliveries above the earlier estimate, the US share recovery to 50.5%, and the Q1 automotive gross-margin improvement. Negative signals are the 2025 revenue decline, BYD's global lead, Tesla's 5.1% China share and declining regulatory-credit revenue. Ambiguous signals include the Model Y's strong China ranking alongside Tesla falling outside the July top ten at brand level; model strength can coexist with portfolio weakness. The conflicting Semi start dates are not economically material because both indicate a 2026 ramp, but actual output remains unknown. The evidence supports stabilization, not yet a proven structural reacceleration.

CORE AUTOMOTIVE FACT SHEET

PROFIT ENGINE

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USD 82,056m

FY2025A GROSS PROFIT  
USD 13,292m

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2.35m vehicles (2024 estimate)

LOW-COST PLATFORM COST GATE  
\$15000-\$20000 manufacturing target

08.2

Core Automotive (continued)  
Business division deep dive — Profit engine.

The financial signal map also warns against reading quarterly group margins literally. Q1 through Q4 2026 figures show extreme EBITDA and depreciation volatility, including Q4 EBITDA of USD 9.188bn and depreciation of USD 7.855bn. The annual maintained model is therefore the authoritative forecasting anchor rather than extrapolated quarterly margins. Full-year 2026 sales are forecast at USD 105.88bn and EBIT at USD 5.672bn. Progress should be judged against those totals and the 2027 step-up, not a single quarter. A credible positive revision requires cash conversion as well as deliveries.

ASSESSMENT

Core Automotive remains valuable, scaled and strategically essential, but its economics do not support the group valuation by themselves. The target assigns USD 180bn of enterprise value, equivalent to 12.0x modeled 2027 EBITDA, and the current-market allocation is USD 300bn. This is a premium valuation for a manufacturer with global brand strength and software attachment, balanced against slowing growth, China competition and credit erosion. The next-generation platform is the decisive factor because it can simultaneously lift volume, utilization and FSD addressability. Failure to demonstrate cost-led rather than price-led growth would reduce both the automotive value and the probability of autonomy success.

CORE AUTOMOTIVE FACT SHEET

PROFIT ENGINE

FY2025A REVENUE  
USD 82,056m

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5.1% (H1 2026)

INSTALLED ANNUAL CAPACITY  
2.35m vehicles (2024 estimate)

LOW-COST PLATFORM COST GATE  
\$15000–\$20000 manufacturing target

| AUTOMOTIVE SCALE, PROFITABILITY AND MARKET POSITION |                          |                           |                         |
|-----------------------------------------------------|--------------------------|---------------------------|-------------------------|
| COMPANY                                             | SCALE / SHARE            | PROFIT EVIDENCE           | STRATEGIC MARKER        |
| Tesla                                               | 1.636m deliveries (2025) | 16.2% FY25 auto GP margin | 50.5% US EV share Q2'26 |
| BYD                                                 | 2.257m BEVs (2025)       | 17.2% GP margin H2'25     | 21.1% China share H1'26 |
| Rivian                                              | Smaller US pure play     | 2.7% GP margin (2025E)    | \$38784 loss/unit Q1'24 |
| Toyota                                              | Global scale benchmark   | 11.3% EBIT margin 2027E   | 2.9x EV/EBITDA 2027E    |

08.3

Energy Generation & Storage

Business division deep dive — Profit engine.

WHY THE MARKET VALUES IT

Energy Generation & Storage is Tesla's most tangible diversification engine. The verified FY2025 reported segment generated USD 12.771bn of revenue and USD 3.802bn of gross profit, equal to 13.5% of group revenue and 22.2% of gross profit. Its approximate 29.8% reported gross margin was materially above automotive's 16.2%, making energy disproportionately important to gross-profit formation. The division receives USD 127.246bn of current enterprise value and USD 74.52bn in the target bridge. Its decisive factor is whether utility-scale storage can retain share and margin as LFP competitors reduce pricing.

MARKET STRUCTURE AND DEMAND

DataM Intelligence estimated the 2026 global BESS market at USD 61.4bn on 7 August 2026. Tesla deployed a record 46.7 GWh in 2025, up 49%, and 13.5 GWh in Q2 2026 according to PV Tech. Demand is therefore not the immediate constraint; price, cell access and execution determine value capture. Tesla is constructing a 50 GWh annual-capacity Houston Megafactory, according to Renewables Now on 4 February 2026. Expansion can support growth but increases exposure to utilization and market pricing.

COMPETITIVE POSITION

Benchmark Mineral Intelligence ranked BYD first among 2025 global storage integrators at 13%, Tesla second at 10% and Sungrow third at 9%. Wood Mackenzie had estimated Tesla at 15% globally in 2024, so the datasets indicate either share loss or methodology differences; the more recent 2025 Benchmark figure receives greater weight. Tesla's estimated North American share was much stronger at 39% in 2024. In residential storage, AgentSolar estimated Powerwall at 65% of US installation quotes versus Enphase at 16.6% in 2026, although quote share is not shipment or revenue share. Tesla has regional strength, but global integrator leadership has shifted to BYD.

UNIT ECONOMICS

Energy gross margin reached 39.5% in Q1 2026 and fell to 20.4% in Q2 after a USD 240m warranty true-up and declining average selling prices, according to Tesla and PV Tech. This volatility is the key valuation risk because reported FY2025 segment margin was 29.8%. Estimated installed Megapack pricing fell from USD 350 per kWh in Q2 2024 to USD 290 in Q2 2025, while late-2025 volume quotes were as low as USD 220 before credits. CATL's 2025 energy-storage gross margin was 26.71%, and Sungrow reported 36.69% including inverter products. Tesla's sustainable margin likely sits below the Q1 peak unless software, integration and domestic-content advantages offset equipment deflation.

ENERGY GENERATION & STORAGE FACT SHEET

PROFIT ENGINE

FY2025A REVENUE  
USD 12,771m

FY2025A GROSS PROFIT  
USD 3,802m

FY2025 REPORTED GROSS MARGIN  
29.8% on \$12.8bn sales

STORAGE DEPLOYMENTS  
46.7 GWh (2025)

Q2 STORAGE DEPLOYMENTS  
13.5 GWh (Q2 2026)

GLOBAL INTEGRATOR SHARE  
10% in 2025; #2 behind BYD

NORTH AMERICA INTEGRATOR SHARE  
39% (2024 estimate)

GROSS-MARGIN RANGE  
39.5% Q1 to 20.4% Q2 2026

HOUSTON EXPANSION  
50 GWh planned annual capacity

TARGET BRIDGE BASIS  
\$4.14bn 2027E EBITDA × 18.0x

08.3

Energy Generation & Storage (continued)

Business division deep dive — Profit engine.

ECONOMICS BRIDGE

The target assigns USD 4.14bn of 2027 EBITDA to energy, equal to the difference between group EBITDA of USD 19.14bn and the USD 15bn automotive allocation. At 18.0x, this produces USD 74.52bn of enterprise value. The multiple exceeds the broad peer median because energy is growing faster than automotive and has higher reported gross margin, but it is far below Tesla's historical group multiple. The current allocation of USD 127.246bn would require approximately USD 7.07bn of EBITDA at the same multiple. That is possible only with sustained deployment growth and margin normalization above the Q2 trough.

GAP TO REQUIRED ECONOMICS

The division must prove that 2025's 46.7 GWh scale and Houston's planned capacity translate into earnings rather than commodity-like price competition. Tesla's integrator share declined from an estimated 15% in 2024 to 10% in the newer 2025 dataset, while BYD reached 13%. CATL's cell share was reported at 39.2% in its annual report but at 30.4% by Battery-Tech Network; the company figure is weighted for cell shipments, while neither should be confused with integrator share. Residential economics also face the expiration of the 30% US storage tax credit after 31 December 2025. The target is broken if gross margin settles near 20% while capacity expands.

MILESTONES

Near-term monitoring should focus on gross margin after the Q2 warranty adjustment, quarterly GWh deployment and realized pricing. Houston construction and commissioning are important because 50 GWh of capacity can materially increase Tesla's supply base. Market-share retention should be judged using a consistent integrator dataset, avoiding comparisons between cell suppliers, system integrators and quote share. Powerwall demand after tax-credit expiry will reveal residential price elasticity. A return toward the FY2025 segment margin with rising deployments would justify an upward revision.

SIGNAL MAP

Positive signals are record deployments, 26.6% 2025 energy-revenue growth and a second-highest quarterly deployment in Q2. Negative signals are Tesla losing the top integrator ranking, falling quoted system prices and Q2 gross-margin compression. The USD 240m warranty true-up may be partly non-recurring, but declining average selling prices are structural. North American share and Powerwall quote presence provide regional offsets. The evidence supports a profitable growth engine, not a competition-free franchise.

ENERGY GENERATION & STORAGE FACT SHEET

PROFIT ENGINE

FY2025A REVENUE  
USD 12,771m

FY2025A GROSS PROFIT  
USD 3,802m

FY2025 REPORTED GROSS MARGIN  
29.8% on \$12.8bn sales

STORAGE DEPLOYMENTS  
46.7 GWh (2025)

Q2 STORAGE DEPLOYMENTS  
13.5 GWh (Q2 2026)

GLOBAL INTEGRATOR SHARE  
10% in 2025; #2 behind BYD

NORTH AMERICA INTEGRATOR SHARE  
39% (2024 estimate)

GROSS-MARGIN RANGE  
39.5% Q1 to 20.4% Q2 2026

HOUSTON EXPANSION  
50 GWh planned annual capacity

TARGET BRIDGE BASIS  
\$4.14bn 2027E EBITDA × 18.0x

08.3

Energy Generation & Storage (continued)

Business division deep dive — Profit engine.

ASSESSMENT

Energy is the highest-quality current profit pool because it combines visible revenue, above-automotive gross margin and expanding demand. The target's USD 74.52bn value is conservative relative to the current allocation but still assumes a premium 18.0x multiple. The division can outperform if Houston fills quickly and gross margin normalizes near 30%. It can underperform if BYD, CATL and Sungrow force pricing toward hardware economics while warranties remain elevated. Energy mitigates automotive cyclicalities but cannot independently bridge the gap to the current group valuation.

ENERGY GENERATION & STORAGE FACT SHEET

PROFIT ENGINE

FY2025A REVENUE  
USD 12,771m

FY2025A GROSS PROFIT  
USD 3,802m

FY2025 REPORTED GROSS MARGIN  
29.8% on \$12.8bn sales

STORAGE DEPLOYMENTS  
46.7 GWh (2025)

Q2 STORAGE DEPLOYMENTS  
13.5 GWh (Q2 2026)

GLOBAL INTEGRATOR SHARE  
10% in 2025; #2 behind BYD

NORTH AMERICA INTEGRATOR SHARE  
39% (2024 estimate)

GROSS-MARGIN RANGE  
39.5% Q1 to 20.4% Q2 2026

HOUSTON EXPANSION  
50 GWh planned annual capacity

TARGET BRIDGE BASIS  
\$4.14bn 2027E EBITDA × 18.0x

ENERGY-STORAGE COMPETITIVE POSITION AND PROFITABILITY

| COMPANY | GLOBAL POSITION      | SHARE / SCALE    | MARGIN EVIDENCE       |
|---------|----------------------|------------------|-----------------------|
| Tesla   | #2 integrator (2025) | 10%; 46.7 GWh    | 29.8% FY25 segment GP |
| BYD     | #1 integrator (2025) | 13% global share | Pricing competitor    |
| Sungrow | #3 integrator (2025) | 9% global share  | 36.69% storage GP     |
| CATL    | #1 storage cells     | 39.2% cell share | 26.71% storage GP     |

08.4

Optimus & AI Robotics

Business division deep dive — Emerging option.

WHY THE MARKET VALUES IT

Optimus offers a theoretical route from Tesla's vision, inference and manufacturing capabilities into general-purpose physical labor. The market allocation is USD 100bn despite no verified division revenue or comparable profit. The target recognizes the option through 2030 EBITDA scenarios rather than applying a multiple to nonexistent sales. A USD 5bn downside-success EBITDA outcome carries 20% probability, while USD 15bn carries 5%. Discounted present value is approximately USD 26.7bn.

MARKET STRUCTURE AND DEMAND

The humanoid market is early and shipment definitions are inconsistent. Smart Analytics Global estimated AgiBot at 44% and Unitree at 31% of first-half 2026 shipments, with Chinese vendors collectively at 97%. For 2025, Global Market Insights identified UBTech above 14%, while Counterpoint placed AgiBot at 32% of installations. The different metrics and periods prevent a clean share series, so the analysis weights evidence of actual industrial deliveries over headline market rank. UBTech reported 1079 industrial humanoid deliveries in 2025.

COMPETITIVE POSITION

Tesla has relevant in-house engineering assets, including 28 structural actuators and a 22-degree-of-freedom hand system, according to a Fremont Gen 3 update reported on 26 May 2026. However, Tesla confirmed on 22 July that it was still installing first-generation Optimus lines and output was effectively zero. A third-party claim of more than 1000 internally deployed units conflicts directly with that primary update and therefore is not weighted. Figure AI reportedly had more than 350 third-generation robots by June, while UBTech had already crossed 1000 industrial deliveries. Tesla's brand and AI resources are advantages, but its disclosed commercial position trails shipment leaders.

UNIT ECONOMICS

No verified Optimus selling price, production cost, revenue or gross margin is available in the source data. Tesla's internal factory is therefore the appropriate first customer because labor substitution, uptime and intervention can be observed before external commercialization. Mean time between failure was described as a concern, and no third party had validated a complete eight-hour autonomous shift by August 2026. A reported USD 685m Sanhua actuator order was denied by the supplier and characterized as sourceless, so it is excluded from the economics. Estimated 70% Chinese sourcing creates cost advantages but also concentration and trade-policy risk.

OPTIMUS & AI ROBOTICS FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

CURRENT-MARKET EV ALLOCATION

\$100.0bn

VERIFIED PRODUCTION STATE

First-generation lines installing in Q2

AUTONOMOUS WORK GATE

Verified full eight-hour factory shift

HAND AND ACTUATOR DESIGN

22 degrees of freedom; 28 actuators

SUPPLY-CHAIN EXPOSURE

70% estimated China sourcing

1H 2026 SHIPMENT LEADERS

AgiBot 44%; Unitree 31%

TARGET OPTION VALUE

\$26.7bn present value



08.4

Optimus & AI Robotics (continued)

Business division deep dive — Emerging option.

ECONOMICS BRIDGE

The target values a USD 5bn 2030 EBITDA success case at 20.0x with 20% probability and a USD 15bn outcome at 20.0x with 5% probability. Four-year discounting at 7.0% produces approximately USD 26.7bn of present enterprise value. The 75% residual probability is assigned zero because Tesla had effectively no production output in Q2. Agility Robotics' June 2026 transaction valuation of USD 2.5bn is a useful reality check on the maturity of commercial humanoid assets. Tesla deserves a premium for platform scale, but USD 100bn requires evidence far beyond current deployment.

GAP TO REQUIRED ECONOMICS

The principal gap is not addressable demand; it is autonomous dexterity, reliability and repeatable production. Elon Musk said in January 2026 that Optimus units were not yet performing useful work and were used for learning and data collection. By July, first-generation lines were still being installed. The departure of Optimus program head Milan Kovac in June 2025 is an execution risk, although the source data does not establish its operational impact. The current-market allocation implies commercial success at a probability or scale roughly four times the target present value.

MILESTONES

The first gate is a third-party-verifiable eight-hour autonomous factory shift with disclosed intervention frequency. The second is sustained internal deployment performing economically useful tasks rather than data collection. The third is a repeatable production line with output, cost and failure-rate disclosure. External customer pilots and paid orders should follow, not substitute for internal proof. Achievement of these gates would justify raising both probability and modeled EBITDA.

OPTIMUS & AI ROBOTICS FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

CURRENT-MARKET EV ALLOCATION

\$100.0bn

VERIFIED PRODUCTION STATE

First-generation lines installing in Q2

AUTONOMOUS WORK GATE

Verified full eight-hour factory shift

HAND AND ACTUATOR DESIGN

22 degrees of freedom; 28 actuators

SUPPLY-CHAIN EXPOSURE

70% estimated China sourcing

1H 2026 SHIPMENT LEADERS

AgiBot 44%; Unitree 31%

TARGET OPTION VALUE

\$26.7bn present value



08.4

Optimus & AI Robotics (continued)

Business division deep dive — Emerging option.

SIGNAL MAP

Positive signals are custom actuator design, improving hand complexity and a supplier base apparently preparing for scale. Negative signals are effectively zero output, no useful work as of January and no verified full-shift autonomy. The alleged Sanhua order is excluded because the supplier denial outweighs the unsupported report. Chinese vendors' 97% shipment share indicates that hardware iteration is occurring quickly outside Tesla. The signal balance remains pre-commercial.

ASSESSMENT

Optimus is a legitimate but distant option, not a current operating division with auditable economics. The target's USD 26.7bn present value is generous relative to the USD 2.5bn Agility transaction benchmark but recognizes Tesla's capital, AI and manufacturing platform. The USD 100bn market allocation requires rapid proof of useful work and production scale. A verified full-shift deployment would be the first material de-risking event. Continued line installation without output would push the option value lower.

OPTIMUS & AI ROBOTICS FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

CURRENT-MARKET EV ALLOCATION

\$100.0bn

VERIFIED PRODUCTION STATE

First-generation lines installing in Q2

AUTONOMOUS WORK GATE

Verified full eight-hour factory shift

HAND AND ACTUATOR DESIGN

22 degrees of freedom; 28 actuators

SUPPLY-CHAIN EXPOSURE

70% estimated China sourcing

1H 2026 SHIPMENT LEADERS

AgiBot 44%; Unitree 31%

TARGET OPTION VALUE

\$26.7bn present value

HUMANOID DEPLOYMENT AND COMMERCIALIZATION EVIDENCE

| COMPANY       | DEPLOYMENT EVIDENCE           | MARKET MARKER             | COMMERCIAL STATE     |
|---------------|-------------------------------|---------------------------|----------------------|
| Tesla Optimus | Output effectively zero Q2'26 | \$100bn market allocation | Internal learning    |
| AgiBot        | Shipment leader 1H'26         | 44% shipment share        | Commercial shipments |
| Unitree       | Second in 1H'26               | 31% shipment share        | Commercial shipments |
| UBTech        | 1079 industrial units 2025    | 14%+ in one dataset       | Industrial delivery  |
| Figure AI     | 350+ Gen-3 robots Jun'26      | Private operator          | Pilot fleet          |

## CORE ANALYSIS · CROSS-DIVISION BRIDGE

## Putting the divisions back together

09

How the business division valuations aggregate to the group, and the re-rating the target price requires.

Core Automotive creates the installed hardware base for FSD subscriptions and future robotaxi supply. A lower-cost vehicle can increase autonomy's addressable fleet, but only eligible hardware matters because HW3 was acknowledged as insufficient for unsupervised operation. The platform therefore creates value only if vehicle affordability and autonomous-capable hardware arrive together.

Energy and automotive compete for cells, capital and manufacturing attention while sharing procurement and factory expertise. Energy's higher gross margin can diversify vehicle-cycle pressure, but rapidly falling storage pricing can transfer battery-cost savings to customers. Houston expansion and automotive platform investment also contribute to 2026 capital intensity.

Optimus can reuse computer vision, inference and manufacturing knowledge, but it also competes with the other divisions for engineers and capital. Management expected 2026 capital expenditure above USD 25bn, versus USD 19.354bn in the maintained model, so simultaneous ramps could deepen negative free cash flow. Group FCFF is forecast at negative USD 4.454bn in 2026 and negative USD 2.999bn in 2027.

There is also potential cannibalization inside mobility. A successful Tesla-owned robotaxi network could reduce private vehicle demand while increasing fleet utilization and vehicle replacement. The value migrates from one-time automotive gross profit toward recurring network economics, which is beneficial only if Tesla captures the network margin rather than merely supplying low-margin vehicles.

**BRIDGE MECHANICS**

Profit engines are valued on modeled 2027 EBITDA. Optionality is valued on probability-weighted 2030 EBITDA outcomes discounted at the maintained 7.0% WACC, with unlisted failure probabilities assigned zero.

At USD 339.99, Tesla's controlled market capitalization is USD 1269.977bn and enterprise value is USD 1277.246bn. The stock trades at 267.91x 2026 earnings, 76.86x EBITDA and 225.18x EBIT. These are option-heavy multiples rather than a conventional valuation of the maintained forecast.

The reverse valuation makes the embedded operating requirement explicit. It raises 2026 EBITDA from the maintained USD 16.617bn to USD 33.512bn and 2027 EBITDA from USD 19.14bn to USD 57.726bn. Implied 2027 EBIT is USD 45.476bn at a 36.0% margin, compared with maintained EBIT of USD 6.89bn at 5.5%.

Peer comparisons do not close the gap. Uber trades at 11.5x 2027 EBITDA, NVIDIA at 15.4x and Toyota at 2.9x, while the resolved peer median is 11.5x. Tesla's 76.86x 2026 multiple therefore requires a much faster migration toward software margins than the maintained model contains.

Tesla's own normalized historical EV/EBITDA average is 101.83x, but history is not a fundamental anchor because prior prices also embedded autonomy expectations. Using that average on depressed earnings would reproduce the market narrative rather than test it. The SOTP instead applies differentiated multiples and probabilities to avoid valuing automotive manufacturing as realized software.

The target still embeds substantial optimism. FSD and Optimus contribute approximately USD 236.5bn of present EV despite incomplete commercial disclosure, and automotive receives a large premium to Toyota. The SELL is therefore driven less by disbelief in Tesla's technology than by the amount and timing of success already capitalized.

## CORE ANALYSIS · SCENARIOS &amp; VERDICT

## 10

**Scenario logic and the bottom-line judgment**

How the conclusion changes under less favourable scenarios.

The Bear scenario assumes group revenue of USD 120bn, EBITDA of USD 12bn and a 10.0% margin. It represents continued automotive price pressure, energy margin near the Q2 trough, minimal autonomy commercialization and capital spending that fails to produce near-term cash returns. A 15.0x multiple still gives credit for strategic assets.

The Base scenario uses maintained 2029 revenue of USD 147.278bn and EBITDA of USD 23.169bn, with a 15.7% margin and 20.0x multiple. It assumes automotive stabilization, profitable energy growth and partial but not dominant option realization. It is a consolidated cross-check rather than the primary SOTP.

The Bull scenario assumes USD 175bn of revenue and USD 35bn of EBITDA at a 20.0% margin. It requires a successful affordable vehicle, energy scale with normalized margins, paid driverless expansion and early useful Optimus deployments. A 25.0x multiple reflects improved business mix, while stronger cash generation implies a better net-cash position rather than carrying the base bridge unchanged.

Even the Bull does not adopt the reverse valuation's 36.0% 2027 EBIT margin or 43.2% terminal EBIT margin. Those levels would require autonomy to dominate group economics on an unusually compressed timetable. Scenario probabilities should therefore be revised only when regulatory permission and operating dashboards become observable.

## BOTTOM LINE

**Tesla owns valuable manufacturing, storage and AI assets, and the autonomy evidence now warrants a substantial option value. The current quote nevertheless requires multiple divisions to achieve high-margin scale with limited allowance for regulatory, competitive or capital-intensity setbacks. The USD 122.48 target is not a conventional automaker valuation; it is a generous option-adjusted SOTP that still sits materially below the market.**

FINANCIAL BRIDGE · PART 1

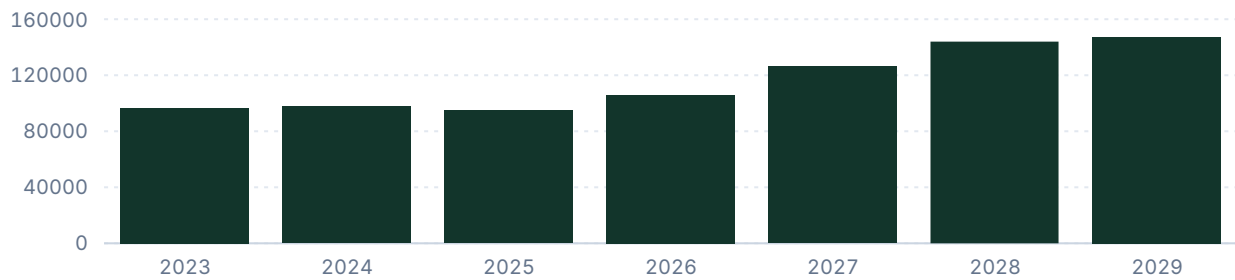
## Net sales, EBITDA / EBIT, EBIT margin

14

Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.

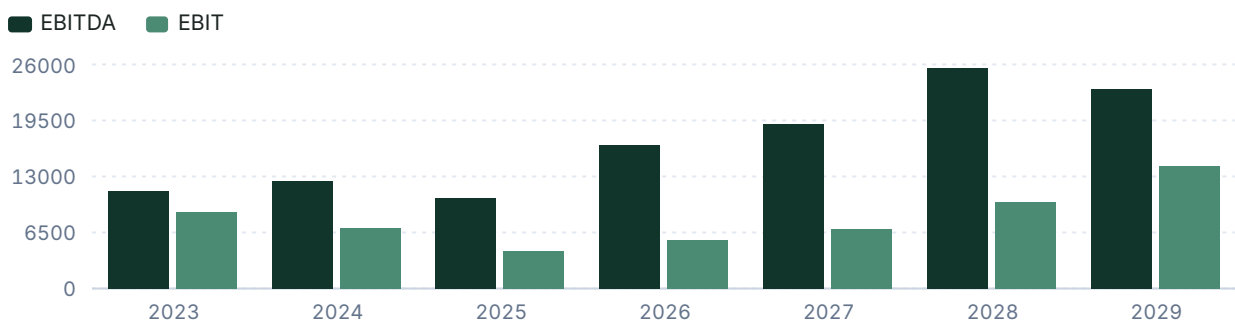
### Net sales

USD millions



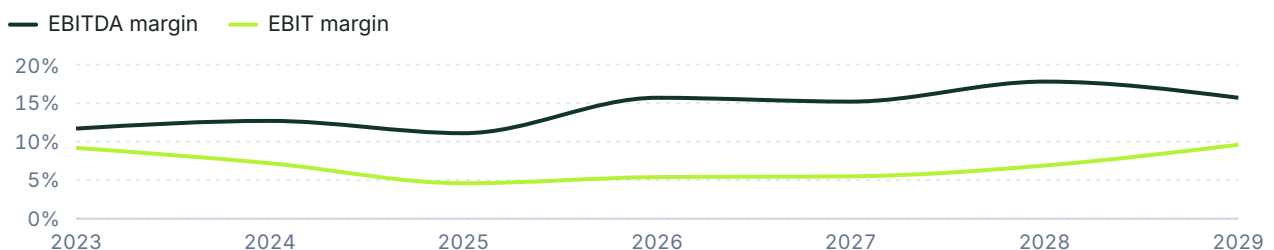
### EBITDA & EBIT

USD millions



### EBIT and EBITDA margin

% of net sales



FINANCIAL BRIDGE · PART 2

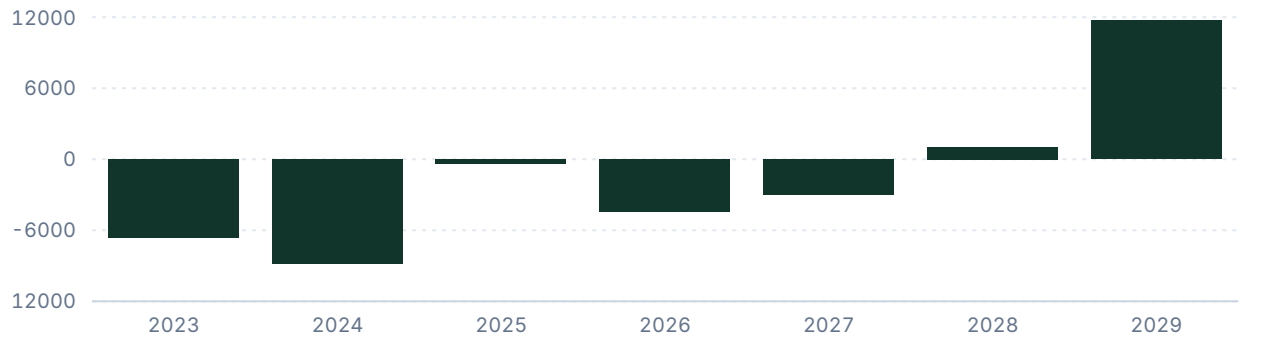
15

## Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

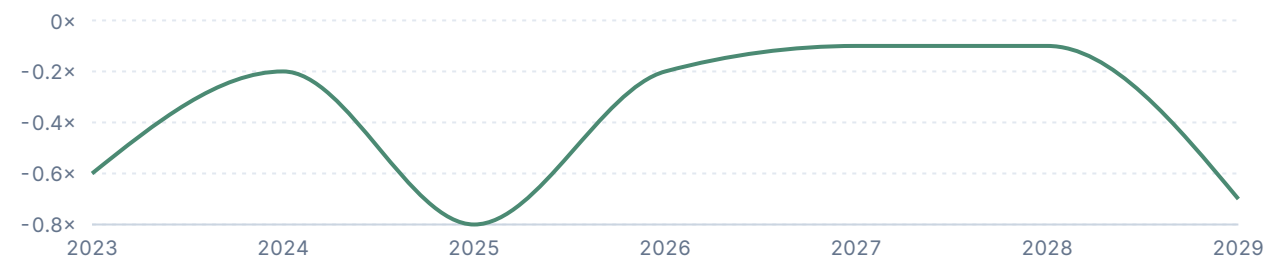
### Free cash flow

USD millions



### Net debt / EBITDA

Ratio



### KEY FINANCIALS

|                     | 2025         | 2026         | 2027         | 2028          | 2029          |
|---------------------|--------------|--------------|--------------|---------------|---------------|
| Net Sales           | 94,827       | 105,880      | 126,200      | 144,000       | 147,278       |
| EBITDA              | 10,503       | 16,617       | 19,140       | 25,570        | 23,169        |
| Comparable EBIT     | 4,355        | 5,672        | 6,890        | 9,980         | 14,179        |
| <b>Net Earnings</b> | <b>3,855</b> | <b>3,871</b> | <b>7,360</b> | <b>10,588</b> | <b>14,472</b> |
| EPS (USD)           | 1.2          | 1.2          | 2.3          | 3.3           | 4.5           |
| DPS (USD)           | 0            | 0            | 0            | 0             | 0             |

## VALUATION

## Target price derivation

## 16

The rationale for the chosen valuation method and multiple, with the company's historical multiples.

A sum-of-the-parts methodology is necessary because Tesla combines two current profit engines with two options whose value depends on future permission, technology and scale. Applying one group multiple would either value automotive manufacturing as software or assign no value to autonomy and robotics. FY2025 reported segment revenue and gross profit establish the operating base, while option legs use explicit modeled 2030 EBITDA and probabilities.

What the market is pricing.

After assigning USD 300bn to automotive, USD 127.246bn to energy and USD 100bn to Optimus, the current controlled EV leaves USD 750bn for FSD and robotaxi. At a 20.0x multiple and four-year 7.0% discounting, that residual corresponds to approximately USD 49.2bn of probability-weighted 2030 EBITDA. The target FSD legs embed about USD 27.5bn before discounting, so the market prices nearly twice the target probability-weighted economics.

The market assumes Autonomy reaches software-scale profitability on a timetable consistent with USD 750bn of current EV. We assign a different reading: Tesla deserves a large option, but the target discounts to USD 209.8bn because paid ride volume, active fleet and multi-jurisdiction permission remain incomplete. (Waymo, June 2026; 500000 paid rides weekly. AUTNMY AI, 23 June 2026; Tesla ranked fifth.)

The market assumes Group margins can move rapidly toward the reverse valuation's 36.0% in 2027. We assign a different reading: The maintained model forecasts only 5.5%, and current manufacturing, energy pricing and credit trends do not support an immediate sixfold margin increase. (Valuatum maintained model, 17 August 2026; Tesla Q2 credit revenue reported by 24/7 Wall St., 15 August 2026.)

The market assumes Optimus warrants approximately USD 100bn before useful industrial output is verified. We assign a different reading: A USD 26.7bn probability-weighted value is more consistent with zero effective Q2 output and the absence of a validated full autonomous shift. (Tesla Q2 shareholder update, 22 July 2026; Tesla Q4 2025 earnings call, 28 January 2026.)

## HISTORICAL AND FORECAST MULTIPLES

| METRIC    | 2020    | 2021    | 2022   | 2023   | 2024    | 2025    | 2026E   | NORM. AVG. |
|-----------|---------|---------|--------|--------|---------|---------|---------|------------|
| P/E       | 763.78x | 184.52x | 30.57x | 52.65x | 180.49x | 376.22x | 267.91x | 112.06x    |
| EV/EBITDA | 161.11x | 114.67x | 22.14x | 69.91x | 104.64x | 138.54x | 76.86x  | 101.83x    |
| EV/EBIT   | 348.72x | 165.84x | 28.22x | 89.30x | 184.02x | 334.11x | 225.18x | 191.70x    |
| EV/Sales  | 22.05x  | 20.10x  | 4.73x  | 8.20x  | 13.33x  | 15.34x  | 12.06x  | 13.96x     |
| P/BV      | 29.62x  | 34.53x  | 8.62x  | 12.59x | 17.71x  | 17.66x  | 14.77x  | 20.12x     |
| P/S       | 20.88x  | 19.37x  | 4.73x  | 8.15x  | 13.22x  | 15.29x  | 9.79x   | 13.61x     |

VALUATION

## Peers and target price bridge

17

Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

| PEER COMPARISON |                 |                 |                   |            |
|-----------------|-----------------|-----------------|-------------------|------------|
| COMPANY         | 2026E EV/EBITDA | 2027E EV/EBITDA | 2027E EBIT MARGIN | 2027E ROIC |
| Tesla           | 76.86x          | 66.73x          | 5.5%              | 7.7%       |
| Uber            | 14.0x           | 11.5x           | 15.6%             | 29.3%      |
| NVIDIA          | 34.2x           | 15.4x           | 65.0%             | 92.3%      |
| Rivian          | -6.3x           | -6.3x           | -57.8%            | -25.9%     |
| Toyota          | 5.2x            | 2.9x            | 11.3%             | 9.9%       |
| Peer median     | 9.6x            | 11.5x           | 13.5%             | 19.6%      |

| TARGET PRICE BRIDGE                                      |                             |              |                   |                           |        |
|----------------------------------------------------------|-----------------------------|--------------|-------------------|---------------------------|--------|
| METHOD                                                   | FORECAST METRIC             | METRIC VALUE | SELECTED MULTIPLE | IMPLIED PRICE (12M DISC.) | WEIGHT |
| SOTP: Core Automotive                                    | 2027 Modeled division E...  | 15,000       | 12.0x             | 45.6 USD                  | 0%     |
| SOTP: Energy Generation & Storage                        | 2027 Modeled division E...  | 4,140        | 18.0x             | 18.9 USD                  | 0%     |
| OPTION: FSD & Robotaxi Network — scaled downside success | 2030 Modeled network E...   | 20,000       | 20.0x             | 101.3 → 27.2 USD          | 0%     |
| OPTION: FSD & Robotaxi Network — global upside success   | 2030 Modeled network E...   | 45,000       | 20.0x             | 227.9 → 26.2 USD          | 0%     |
| SOTP: FSD & Robotaxi Network (probability-weighted)      | Expected enterprise value   | n/a          | n/a               | 53.4 USD                  | 0%     |
| OPTION: Optimus & AI Robotics — industrial niche success | 2030 Modeled robotics E...  | 5,000        | 20.0x             | 25.3 → 3.9 USD            | 0%     |
| OPTION: Optimus & AI Robotics — broad platform success   | 2030 Modeled robotics E...  | 15,000       | 20.0x             | 76.0 → 2.9 USD            | 0%     |
| SOTP: Optimus & AI Robotics (probability-weighted)       | Expected enterprise value   | n/a          | n/a               | 6.8 USD                   | 0%     |
| Sum of the parts                                         | 2026 Probability-weighte... | n/a          | n/a               | 122.8 USD                 | 100%   |
| Weighted target price                                    |                             |              |                   | 122.8 USD                 | 100%   |

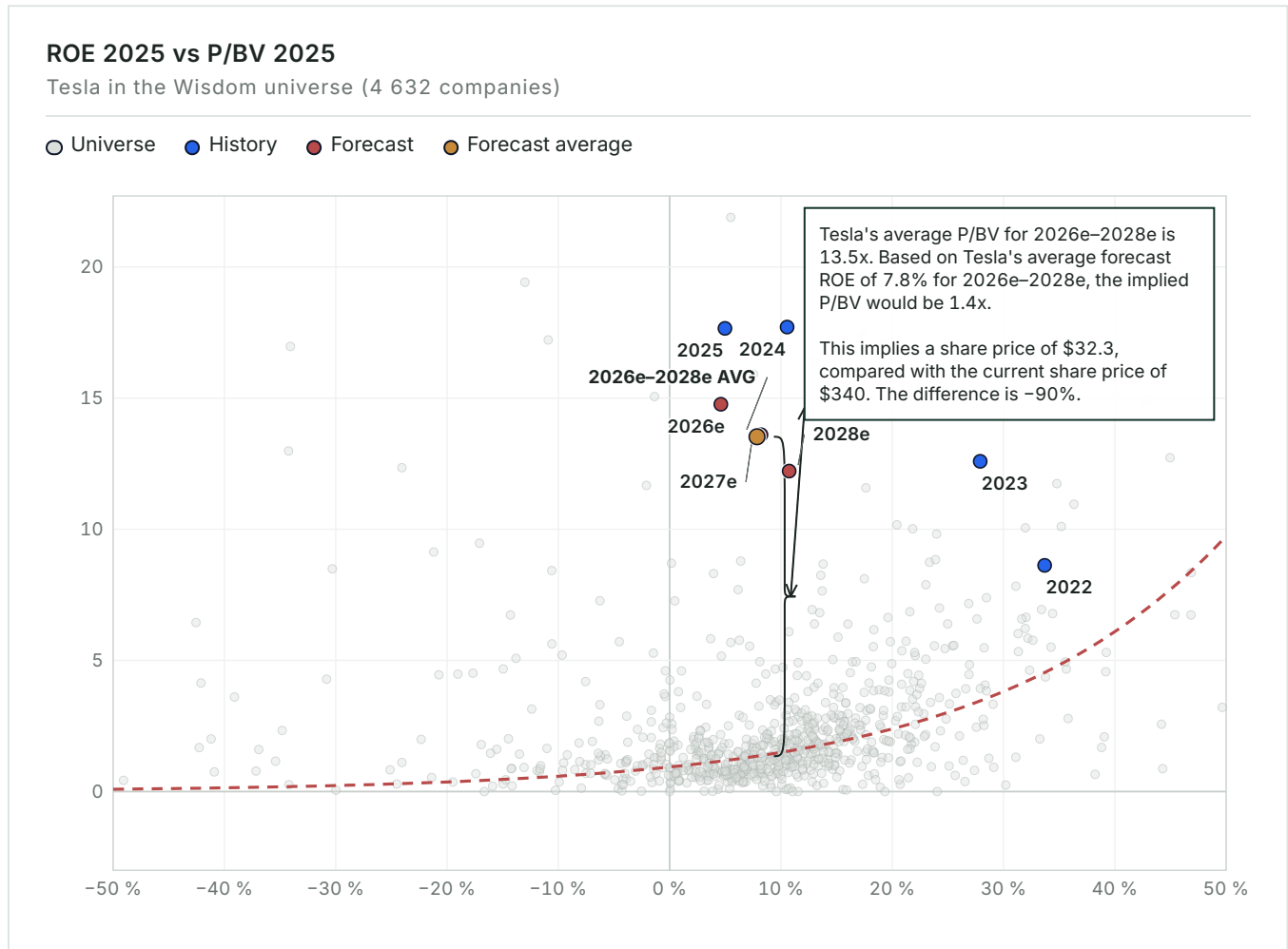
| SENSITIVITY — IMPLIED SHARE PRICE |       |       |       |       |       |
|-----------------------------------|-------|-------|-------|-------|-------|
| FY2029E EBITDA                    | 14.0X | 17.0X | 20.0X | 23.0X | 26.0X |

VALUATION MAP

## ROE vs P/BV — pricing versus profitability

18

The whole Wisdom universe as context: how the market prices profitability on average, and what the company's forecast position would imply for the share price.



Tesla's average 2026–2028 forecast ROE is 7.8% against an average P/BV of 13.5x. The 4632-company universe curve implies only 1.4x P/BV at that ROE, or USD 32.3 per share on average forecast book value of USD 23.9. The 90% gap to the current price confirms that conventional return-on-equity valuation captures little of the autonomy and robotics option value, while also illustrating how exposed the quote is if those options fail.



## MULTIPLES &amp; SENSITIVITY

19

## Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

| FORWARD MULTIPLES |         |
|-------------------|---------|
|                   | 2026    |
| P/E               | 267.9×  |
| EV/EBITDA         | 76.9×   |
| EV/EBIT           | 225.2×  |
| P / Valuatum FOCF | -232.8× |
| P/BV              | 14.8×   |
| Dividend Yield    | —       |
| Net Debt / EBITDA | -0.2×   |

| EBITDA × EV/EBITDA sensitivity          |                                |                                |                                |                                 |                                 |
|-----------------------------------------|--------------------------------|--------------------------------|--------------------------------|---------------------------------|---------------------------------|
| FY2029E EBITDA<br>(USDM)<br>EV/EBITDA → | 14.0×                          | 17.0×                          | 20.0×                          | 23.0×                           | 26.0×                           |
| -20%<br>USD 13,294m                     | USD 186,116m<br>USD 45.30 / sh | USD 225,998m<br>USD 55.40 / sh | USD 265,880m<br>USD 65.50 / sh | USD 305,762m<br>USD 75.60 / sh  | USD 345,644m<br>USD 85.70 / sh  |
| -10%<br>USD 14,955m                     | USD 209,370m<br>USD 51.20 / sh | USD 254,235m<br>USD 62.50 / sh | USD 299,100m<br>USD 73.90 / sh | USD 343,965m<br>USD 85.20 / sh  | USD 388,830m<br>USD 96.60 / sh  |
| Base<br>USD 16,617m                     | USD 232,638m<br>USD 57.10 / sh | USD 282,489m<br>USD 69.70 / sh | USD 332,340m<br>USD 82.30 / sh | USD 382,191m<br>USD 94.90 / sh  | USD 432,042m<br>USD 107.50 / sh |
| +10%<br>USD 18,279m                     | USD 255,906m<br>USD 63.00 / sh | USD 310,743m<br>USD 76.80 / sh | USD 365,580m<br>USD 90.70 / sh | USD 420,417m<br>USD 104.60 / sh | USD 475,254m<br>USD 118.50 / sh |
| +20%<br>USD 19,940m                     | USD 279,160m<br>USD 68.80 / sh | USD 338,980m<br>USD 84.00 / sh | USD 398,800m<br>USD 99.10 / sh | USD 458,620m<br>USD 114.30 / sh | USD 518,440m<br>USD 129.40 / sh |

## SCENARIO VALUATION

## Bear / Base / Bull bridge

20

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

### SCENARIO BRIDGE

|      | REVENUE | EBITDA | MARGIN | MULTIPLE | EV      | EQUITY  | VALUE / SHARE | UPSIDE |
|------|---------|--------|--------|----------|---------|---------|---------------|--------|
| Bear | 120,000 | 12,000 | 10.0%  | 15.0×    | 180,000 | 172,731 | USD 43.73     | -87.1% |
| Base | 147,278 | 23,169 | 15.7%  | 20.0×    | 463,380 | 456,111 | USD 115.48    | -66.0% |
| Bull | 175,000 | 35,000 | 20.0%  | 25.0×    | 875,000 | 867,731 | USD 219.70    | -35.4% |

### KEY CONDITIONS

Bear assumes price-led automotive growth, energy margin compression and no material option profit. Base follows maintained 2029 revenue and EBITDA with partial autonomy progress. Bull requires higher revenue, stronger margins and correspondingly greater cash generation, supported by affordable-vehicle scale, driverless permits, energy execution and early useful robotics deployment. These scenarios are operating boundary cases, not probability-weighted target-price inputs. The code-verified 12-month target of USD 122.8 sits between Base and Bull (Bear USD 43.7, Base USD 115.5, Bull USD 219.7); its method weights are shown in the Target Price Bridge.

### THESIS BREAKER

**A sustained path to at least USD 35bn of EBITDA with verified driverless economics would invalidate the base probability framework.**

## CATALYSTS

## Monitoring checklist

21

Near-, medium- and long-term events that could change the recommendation.

| CATALYST REGISTER                                                                                                                                                                                                                                                                                        |             |                             |                                                  |                                          |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|-----------------------------|--------------------------------------------------|------------------------------------------|
|                                                                                                                                                                                                                                                                                                          | TIMING      | SEGMENT                     | INDICATOR                                        | VALUATION IMPACT                         |
| Affordable vehicle reaches customer deliveries with cost evidence                                                                                                                                                                                                                                        | NEAR-TERM   | Core Automotive             | Volume, manufacturing cost and gross margin      | Raises automotive EBITDA and FSD fleet   |
| Texas driverless authorization and permit continuity confirmed                                                                                                                                                                                                                                           | NEAR-TERM   | FSD & Robotaxi Network      | Active permit, paid rides and no safety operator | Raises autonomy success probability      |
| China grants commercial L3/L4 operating approval                                                                                                                                                                                                                                                         | MEDIUM-TERM | FSD & Robotaxi Network      | Formal authorization beyond Level 2+             | Expands addressable network value        |
| Energy margin normalizes after Q2 warranty true-up                                                                                                                                                                                                                                                       | NEAR-TERM   | Energy Generation & Storage | Gross margin and realized price per kWh          | Supports premium energy multiple         |
| Houston Megafactory begins commercial output                                                                                                                                                                                                                                                             | MEDIUM-TERM | Energy Generation & Storage | GWh output and capacity utilization              | Raises energy EBITDA capacity            |
| Optimus completes verified autonomous factory shift                                                                                                                                                                                                                                                      | MEDIUM-TERM | Optimus & AI Robotics       | Eight-hour shift and intervention frequency      | Materially lifts option probability      |
| Group free cash flow turns sustainably positive                                                                                                                                                                                                                                                          | LONG-TERM   | Core Automotive             | FCFF after expansion capital expenditure         | Reduces execution and financing discount |
| <b>READ - THROUGH</b><br>Optimus requires a different standard: useful work, uptime and repeatable production rather than demonstrations. Because the current valuation is option-heavy, regulatory and reliability milestones can move value more sharply than modest quarterly vehicle-delivery beats. |             |                             |                                                  |                                          |

## RISKS

## Risk register

22

Each risk's business division, mechanism, early-warning trigger, impact band and structural type.

| RISK REGISTER                                                                                                                                                                                                                                                                                                                             |                             |                                                                    |                                                         |        |                |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------|--------------------------------------------------------------------|---------------------------------------------------------|--------|----------------|
|                                                                                                                                                                                                                                                                                                                                           | SEGMENT                     | MECHANISM                                                          | EARLY WARNING                                           | IMPACT | TYPE           |
| Low-cost vehicle becomes a price-led margin reset                                                                                                                                                                                                                                                                                         | FSD & Robotaxi Network      | Lower ASP without matching cost reduction weakens cash generation. | Deliveries rise while automotive gross margin falls.    | HIGH   | THESIS BREAKER |
| Driverless approvals stall outside Texas                                                                                                                                                                                                                                                                                                  | FSD & Robotaxi Network      | Geographic limits prevent fleet utilization and network scale.     | Testing expands without commercial L3/L4 permits.       | HIGH   | STRUCTURAL     |
| Autonomy liability exceeds targeted economics                                                                                                                                                                                                                                                                                             | Core Automotive             | Insurance, recalls and support costs erode per-mile spread.        | Higher intervention, claims or operating restrictions.  | HIGH   | THESIS BREAKER |
| Storage pricing compresses faster than battery costs                                                                                                                                                                                                                                                                                      | Energy Generation & Storage | Lower system ASP and warranty costs reduce gross profit.           | Gross margin remains near 20% despite GWh growth.       | HIGH   | MANAGEABLE     |
| Regulatory-credit revenue continues collapsing                                                                                                                                                                                                                                                                                            | Core Automotive             | High-margin revenue disappears before manufacturing recovers.      | Quarterly credits remain near the Q2 run rate.          | MEDIUM | MANAGEABLE     |
| Optimus reliability fails industrial requirements                                                                                                                                                                                                                                                                                         | Optimus & AI Robotics       | Low uptime prevents useful labor substitution and sales.           | No verified full-shift deployment or output disclosure. | HIGH   | STRUCTURAL     |
| Capital spending outruns operating cash flow                                                                                                                                                                                                                                                                                              | Optimus & AI Robotics       | Simultaneous ramps delay free cash flow and reduce net cash.       | Capex exceeds model while FCF remains negative.         | HIGH   | THESIS BREAKER |
| <b>READ-THROUGH</b><br>The most dangerous combined path is weaker vehicle economics, prolonged negative free cash flow and autonomy permits that remain local. The principal upside risk to the SELL is the opposite combination: rapid affordable-vehicle scale, multi-jurisdiction driverless approval and validated low per-mile cost. |                             |                                                                    |                                                         |        |                |

## 23

## APPENDIX

## Income statement

| INCOME STATEMENT — USD MILLIONS |        |        |        |         |         |         |
|---------------------------------|--------|--------|--------|---------|---------|---------|
|                                 | 2023   | 2024   | 2025   | 2026 E  | 2027 E  | 2028 E  |
| Net Sales                       | 96,773 | 97,690 | 94,827 | 105,880 | 126,200 | 144,000 |
| EBITDA                          | 11,358 | 12,444 | 10,503 | 16,617  | 19,140  | 25,570  |
| EBITDA margin                   | 11.7%  | 12.7%  | 11.1%  | 15.7%   | 15.2%   | 17.8%   |
| Depreciation                    | -2,467 | -5,368 | -6,148 | -10,945 | -12,250 | -15,590 |
| Operating Profit (EBIT)         | 8,891  | 7,076  | 4,355  | 5,672   | 6,890   | 9,980   |
| EBIT margin                     | 9.2%   | 7.2%   | 4.6%   | 5.4%    | 5.5%    | 6.9%    |
| Net financial items             | 1,082  | 1,914  | 923    | -282    | 1,000   | 1,370   |
| Pre-tax Profit                  | 9,973  | 8,990  | 5,278  | 5,390   | 7,890   | 11,350  |
| Net Earnings                    | 14,976 | 7,153  | 3,855  | 3,871   | 7,360   | 10,588  |
| PER SHARE                       |        |        |        |         |         |         |
| EPS                             | 4.7    | 2.2    | 1.2    | 1.2     | 2.3     | 3.3     |
| DPS                             | 0      | 0      | 0      | 0       | 0       | 0       |
| Payout ratio                    | —      | —      | —      | —       | —       | —       |

E = Valuatum estimate (not yet actualised)

## 24

## APPENDIX

## Balance sheet

| BALANCE SHEET — USD MILLIONS          |                |                |                |                |                |                |
|---------------------------------------|----------------|----------------|----------------|----------------|----------------|----------------|
|                                       | 2023           | 2024           | 2025           | 2026 E         | 2027 E         | 2028 E         |
| <b>ASSETS</b>                         |                |                |                |                |                |                |
| Tangible assets                       | 45,123         | 51,507         | 40,643         | 49,036         | 58,447         | 66,690         |
| Intangibles                           | 362            | 1,226          | 135            | 151            | 180            | 205            |
| Goodwill                              | 253            | 244            | 257            | 257            | 257            | 257            |
| <b>Non-current assets</b>             | <b>50,269</b>  | <b>57,186</b>  | <b>62,239</b>  | <b>70,648</b>  | <b>80,087</b>  | <b>88,356</b>  |
| Inventories                           | 13,626         | 12,017         | 12,392         | 13,552         | 16,153         | 18,431         |
| Receivables                           | 19,592         | 30,204         | 39,737         | 40,158         | 41,117         | 41,957         |
| Cash & equivalents                    | 16,398         | 16,139         | 16,513         | 18,107         | 21,582         | 24,626         |
| <b>Current assets</b>                 | <b>49,616</b>  | <b>58,360</b>  | <b>68,642</b>  | <b>71,817</b>  | <b>78,852</b>  | <b>85,014</b>  |
| <b>Total Assets</b>                   | <b>106,618</b> | <b>122,070</b> | <b>137,806</b> | <b>149,390</b> | <b>165,864</b> | <b>180,296</b> |
| <b>EQUITY &amp; LIABILITIES</b>       |                |                |                |                |                |                |
| Equity                                | 63,609         | 73,680         | 82,865         | 86,736         | 94,096         | 104,684        |
| Long-term debt                        | 2,682          | 5,535          | 6,736          | 7,313          | 10,083         | 10,440         |
| Short-term debt                       | 1,975          | 2,343          | 1,640          | 7,313          | 10,084         | 10,440         |
| <b>Long-term liabilities</b>          | <b>9,345</b>   | <b>13,824</b>  | <b>23,227</b>  | <b>23,804</b>  | <b>26,574</b>  | <b>26,931</b>  |
| <b>Current liabilities</b>            | <b>28,748</b>  | <b>28,821</b>  | <b>31,714</b>  | <b>38,850</b>  | <b>45,194</b>  | <b>48,681</b>  |
| <b>Total liabilities &amp; equity</b> | <b>106,618</b> | <b>122,070</b> | <b>137,806</b> | <b>149,390</b> | <b>165,864</b> | <b>180,296</b> |
| <b>CAPITAL STRUCTURE &amp; RATIOS</b> |                |                |                |                |                |                |
| Net debt                              | -6,825         | -2,516         | -8,137         | -3,481         | -1,415         | -3,745         |
| Capital invested                      | 51,868         | 65,419         | 74,728         | 83,255         | 92,681         | 100,939        |
| Equity ratio                          | 59.7%          | 60.4%          | 60.1%          | 58.1%          | 56.7%          | 58.1%          |
| Gearing                               | -10.7%         | -3.4%          | -9.8%          | -4.0%          | -1.5%          | -3.6%          |
| Net debt / EBITDA                     | -0.6×          | -0.2×          | -0.8×          | -0.2×          | -0.1×          | -0.1×          |
| Current ratio                         | 1.7            | 2              | 2.2            | 1.9            | 1.7            | 1.8            |

E = Valuatum estimate (not yet actualised)

## 25

## APPENDIX

## Cash flow

| CASH FLOW — USD MILLIONS                   |              |             |            |              |              |              |
|--------------------------------------------|--------------|-------------|------------|--------------|--------------|--------------|
|                                            | 2023         | 2024        | 2025       | 2026 E       | 2027 E       | 2028 E       |
| <b>OPERATIONS</b>                          |              |             |            |              |              |              |
| Cash from operations (model)               | 10,553       | 3,171       | 3,691      | 14,697       | 19,624       | 26,190       |
| Operating cash flow (Valuatum calculation) | 3,263        | 1,868       | 2,616      | 14,900       | 18,691       | 24,912       |
| Change in working capital                  | 7,474        | 9,298       | 6,312      | 118          | -13          | -12          |
| <b>INVESTING &amp; FREE CASH</b>           |              |             |            |              |              |              |
| Gross capex                                | 11,643       | 12,285      | 11,201     | 19,354       | 21,690       | 23,859       |
| Capex (ex. M&A)                            | -11,643      | -12,285     | -11,201    | -19,354      | -21,690      | -23,859      |
| Cash after capex (CFO - gross capex)       | -1,090       | -9,114      | -7,510     | -4,656       | -2,066       | 2,331        |
| Free operating cash flow (Valuatum def.)   | -6,634       | -8,791      | -383       | -4,454       | -2,999       | 1,053        |
| Free cash flow to firm                     | -6,632       | -8,791      | -383       | -4,454       | -2,999       | 1,053        |
| <b>FINANCING</b>                           |              |             |            |              |              |              |
| CF from financing                          | 8,306        | 8,594       | 8,285      | 6,250        | 5,541        | 713          |
| Dividends paid                             | —            | —           | —          | —            | —            | —            |
| <b>Net change in cash</b>                  | <b>7,216</b> | <b>-520</b> | <b>775</b> | <b>1,594</b> | <b>3,475</b> | <b>3,044</b> |

E = Valuatum estimate (not yet actualised)

## 26

## APPENDIX

## Quarterly snapshot

| HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, USD MILLIONS |        |        |        |        |        |        |        |        |
|--------------------------------------------------------------|--------|--------|--------|--------|--------|--------|--------|--------|
|                                                              | Q1/24  | Q2/24  | Q3/24  | Q4/24  | Q1/25  | Q2/25  | Q3/25  | Q4/25  |
| Net Sales                                                    | 21,301 | 25,500 | 25,182 | 25,707 | 19,335 | 22,496 | 28,095 | 24,901 |
| EBITDA                                                       | 2,417  | 2,883  | 4,065  | 3,079  | 1,846  | 2,356  | 3,249  | 3,052  |
| EBITDA margin                                                | 11.3%  | 11.3%  | 16.1%  | 12.0%  | 9.5%   | 10.5%  | 11.6%  | 12.3%  |
| Comparable EBIT                                              | 1,171  | 1,605  | 2,717  | 1,583  | 399    | 923    | 1,624  | 1,409  |
| EBIT margin                                                  | 5.5%   | 6.3%   | 10.8%  | 6.2%   | 2.1%   | 4.1%   | 5.8%   | 5.7%   |
| Net Earnings                                                 | 1,405  | 1,416  | 2,183  | 2,332  | 420    | 1,190  | 1,389  | 856    |
| EPS                                                          | 0.4    | 0.4    | 0.7    | 0.7    | 0.1    | 0.4    | 0.4    | 0.3    |

| CURRENT YEAR — QUARTERLY, USD MILLIONS |        |        |         |         |
|----------------------------------------|--------|--------|---------|---------|
|                                        | Q1/26  | Q2/26  | Q3/26 E | Q4/26 E |
| Net Sales                              | 22,387 | 28,236 | 27,500  | 27,757  |
| EBITDA                                 | 2,531  | 398    | 4,500   | 9,188   |
| EBITDA margin                          | 11.3%  | 1.4%   | 16.4%   | 33.1%   |
| Comparable EBIT                        | 941    | 398    | 3,000   | 1,333   |
| EBIT margin                            | 4.2%   | 1.4%   | 10.9%   | 4.8%    |
| Net Earnings                           | 491    | 1,128  | 1,483   | 769     |
| EPS                                    | 0.2    | 0.4    | 0.5     | 0.2     |

E = ValuatUM estimate (not yet actualised)



# 27

## SOURCES & DISCLAIMER

### Sources, assumptions, and standard disclaimer

| SOURCES REGISTER                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                    |                                   |
|----------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------|-----------------------------------|
|                                                                | VALUE                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | CATEGORY           | USED IN                           |
| Financial statements and forecast model                        | Valuatum Wisdom model 12823, snapshot period 2026                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | FINANCIAL SNAPSHOT | Financials, forecasts & valuation |
| Share-price history and market profile                         | Financial Modeling Prep, <a href="https://financialmodelingprep.com">TSLA financialmodelingprep.com</a>                                                                                                                                                                                                                                                                                                                                                                                                                                     | MARKET DATA        | Price chart & market facts        |
| Tesla, Inc. Annual Report on Form 10-K for the fiscal year...  | <a href="https://ir.tesla.com/.../tesla-20251231-gen.pdf">ir.tesla.com/.../tesla-20251231-gen.pdf</a>                                                                                                                                                                                                                                                                                                                                                                                                                                       | OFFICIAL SOURCE    | Reported segment table            |
| Tesla officially commenced mass production of the Tesla Sem... | <a href="https://vertexaisearch.cloud.google.com/.../AUZIYQETtUVsiNHwFYgJFPYDXpzpr0iilsRoYyLU2KFqzwjcnPcYWrv-sN9hvtEhPU78xkwGW05BD05PW8PxpWsOTRLtI-hF2C2PLuAyEsDkYZxpoLbfcK3OwLmvi2C6X7BJ9rsYQa8QeWbgxtHyBHQ3Lde2wfzh53jmBlpbCL_EKSO9buEu5d711vHVV2s2MINQyjU=">vertexaisearch.cloud.google.com/.../AUZIYQETtUVsiNHwFYgJFPYDXpzpr0iilsRoYyLU2KFqzwjcnPcYWrv-sN9hvtEhPU78xkwGW05BD05PW8PxpWsOTRLtI-hF2C2PLuAyEsDkYZxpoLbfcK3OwLmvi2C6X7BJ9rsYQa8QeWbgxtHyBHQ3Lde2wfzh53jmBlpbCL_EKSO9buEu5d711vHVV2s2MINQyjU=</a>                             | OFFICIAL SOURCE    | Research register                 |
| Tesla received regulatory approval to launch Full Self-Driv... | <a href="https://vertexaisearch.cloud.google.com/.../AUZIYQGkXfhmPjKzo9Rw7RcZJd5AxRMat2cRSEKvicL6KI0T0SjyPJKY6emQsUY9kZ4aUSMbz6c4bcuY9OhqtE5yA2ITkS_d74vILdArsu_5_QIBMmxka6w25iUKoaKm0u-f0z5WcwN9RR6ygzfFmEqyQ5_lrBZ-nMIG_7owQz4=">vertexaisearch.cloud.google.com/.../AUZIYQGkXfhmPjKzo9Rw7RcZJd5AxRMat2cRSEKvicL6KI0T0SjyPJKY6emQsUY9kZ4aUSMbz6c4bcuY9OhqtE5yA2ITkS_d74vILdArsu_5_QIBMmxka6w25iUKoaKm0u-f0z5WcwN9RR6ygzfFmEqyQ5_lrBZ-nMIG_7owQz4=</a>                                                                                     | OFFICIAL SOURCE    | Research register                 |
| Waymo provides 500,000 paid robo-taxi rides per week across... | <a href="https://vertexaisearch.cloud.google.com/.../AUZIYQGbb4Cto-TUO7FI8-fzFDOsASPQMMaj8_Fu_GShRAQsEROCT1I4ufk2VBNVmRmriyRJQEXaBJM1_xnVeEqjxpyPfoCO3y2RNIXf9jtFBBIHJMVtkn9tsUm3Q==">vertexaisearch.cloud.google.com/.../AUZIYQGbb4Cto-TUO7FI8-fzFDOsASPQMMaj8_Fu_GShRAQsEROCT1I4ufk2VBNVmRmriyRJQEXaBJM1_xnVeEqjxpyPfoCO3y2RNIXf9jtFBBIHJMVtkn9tsUm3Q==</a>                                                                                                                                                                               | OFFICIAL SOURCE    | Research register                 |
| Baidu's Apollo Go peaked at over 350,000 weekly autonomous...  | <a href="https://vertexaisearch.cloud.google.com/.../AUZIYQH9GNH7ItjMR8fNS0SOqShCspIMXREInrvUZOzA9YXrNZ1D3rbUnHB5aX3-FDj4gEO1sl_lC9MicOFS0Mz3xT40RI RcSW6CvHFmYAGGqfLUpExtxViQck-rBTqHp5GcYxJzKTy6oQYD4YNa-6PeWxnvSPJOBlaqnLNeReLUgllEzyMaU5Xne1_7a0iQBozCJ-7oXgZJlyX14Uw==">vertexaisearch.cloud.google.com/.../AUZIYQH9GNH7ItjMR8fNS0SOqShCspIMXREInrvUZOzA9YXrNZ1D3rbUnHB5aX3-FDj4gEO1sl_lC9MicOFS0Mz3xT40RI RcSW6CvHFmYAGGqfLUpExtxViQck-rBTqHp5GcYxJzKTy6oQYD4YNa-6PeWxnvSPJOBlaqnLNeReLUgllEzyMaU5Xne1_7a0iQBozCJ-7oXgZJlyX14Uw==</a> | OFFICIAL SOURCE    | Research register                 |
| Tesla reported that its Robotaxi platform has driven over 3... | <a href="https://vertexaisearch.cloud.google.com/.../AUZIYQGMk9q3v_1figlrWINy_kM3_ICBIhH3szFYhcjZPWUx4obU8oRhifCCOKJn_dAn4u8iHvPJVhSeylhVdsD-l4CCA1QTL-SOd3Wfzq6zLbtmOvQifUvwwqyXGn">vertexaisearch.cloud.google.com/.../AUZIYQGMk9q3v_1figlrWINy_kM3_ICBIhH3szFYhcjZPWUx4obU8oRhifCCOKJn_dAn4u8iHvPJVhSeylhVdsD-l4CCA1QTL-SOd3Wfzq6zLbtmOvQifUvwwqyXGn</a>                                                                                                                                                                                 | OFFICIAL SOURCE    | Research register                 |